TotalEnergies

TOTALENERGIES MARKETING NIGERIA PLC

UNAUDITED FINANCIAL STATEMENTS

31 MARCH 2026

TOTALENERGIES MARKETING NIGERIA PLC

RESULTS AT A GLANCE

FOR THE PERIOD ENDED	31 March 2026	31 March 2025	Change
	₦'000	₦'000	%
Revenue	197,180,236	221,621,207	(11)
Profit before income taxation	1,913,861	1,121,951	71
Profit/(loss) for the period	1,171,296	(120,027)	(1,076)
Total comprehensive income/(loss) for the period	1,171,296	(120,027)	(1,076)
Share capital	169,761	169,761	-
Shareholders' funds	48,711,197	61,380,138	(21)

	31 March 2026	31 March 2025	Change
PER SHARE DATA:			%
Based on 339,521,837 ordinary shares of 50 kobo each:			
Earnings/(Loss) per 50 kobo share (Naira) - basic	3.45	(0.35)	(1,076)
Stock exchange quotation (Naira)	640.00	679.70	(6)
Number of staff	404	420	(4)

TOTALENERGIES MARKETING NIGERIA PLC

STATEMENT OF FINANCIAL POSITION

AS AT	Notes	31 March 2026 ₦'000	31 December 2025 ₦'000
Non-current assets			
Property, plant and equipment	16	60,411,165	62,038,414
Right-of-use assets	17 (i)	12,848,474	9,772,313
Intangible assets	15	60,209	74,426
Trade and other receivables	19.1	4,918,217	6,021,005
Total non-current assets		**78,238,065**	**77,906,158**
Current Assets			
Inventories	18	97,692,514	133,460,192
Witholding tax receivables	11.2.1	1,459,422	845,156
Trade and other receivables	19	125,596,435	129,575,047
Prepayments	20	4,474,494	1,979,387
Cash and cash equivalents	27	48,551,802	44,784,443
Total current assets		**277,774,667**	**310,644,225**
Total assets		**356,012,732**	**388,550,383**
Equity			
Share capital	26	169,761	169,761
Retained earnings		48,541,436	47,370,140
Total equity		**48,711,197**	**47,539,901**
Non-current liabilities			
Deferred tax liabilities	11.3	6,901,258	6,416,452
Lease liabilities	22	966,657	343,925
Employee benefits	12	3,758,693	3,456,959
Total non-current liabilities		**11,626,608**	**10,217,336**
Current liabilities			
Current tax liabilities	11.2	3,952,795	3,695,036
Loans and borrowings	21	100,008,736	84,671,515
Trade and other payables	24	185,535,175	236,527,566
Deferred income	25	5,181,588	5,544,439
Lease liabilities	22	996,633	354,590
Total current liabilities		**295,674,927**	**330,793,146**
Total liabilities		**307,301,535**	**341,010,482**
Total equity and liabilities		**356,012,732**	**388,550,383**

These financial statements were approved and authorised for issue by the Board of Directors of the Company on 27th April 2026 and signed on behalf of the Board by:

Wilfried Konde - Managing Director
FRC/2013/IODN/00000002084

O. A Popoola Mordi

Olubunmi Popoola-Mordi - Executive Director
FRC/2013/ICSAN/00000002042

Additionally certified by:

Samson Eghwerehe - Head of Finance
FRC/2018/ICAN/00000018952

The accompanying notes form an integral part of these financial statements.

TOTALENERGIES MARKETING NIGERIA PLC

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE PERIOD ENDED

	Notes	31 March 2026 ₦'000	31 March 2025 ₦'000
Revenue	6	197,180,236	221,621,207
Cost of sales	7	(170,227,608)	(197,112,889)
Gross profit		**26,952,628**	**24,508,318**
Other income	8.1	1,962,115	2,393,211
Other expenses	8.1.2	-	(6,586)
Selling & distribution costs	10.1	(2,246,299)	(2,204,114)
Administrative expenses	10.2	(20,453,786)	(17,709,464)
Net impairment loss on financial assets	30 (iv)	(23,912)	(17,095)
Operating profit		**6,190,746**	**6,964,270**
Finance income	9	490,923	986,979
Finance costs	9	(4,767,808)	(6,829,298)
Net finance costs		**(4,276,885)**	**(5,842,319)**
Profit before income taxation		**1,913,861**	**1,121,951**
Minimum taxation	11.1.3	-	(1,108,106)
Income taxation	11.1.1	(742,565)	(133,872)
Total comprehensive income/(loss) for the period		**1,171,296**	**(120,027)**
Earnings per share			
Basic and diluted earning/(loss) per share	14	3.45	(0.35)

The accompanying notes form an integral part of these financial statements.

TOTALENERGIES MARKETING NIGERIA PLC

STATEMENT OF CHANGES IN EQUITY

for the year ended 31 March 2026

	Notes	Share capital ₦'000	Retained earnings ₦'000	Total equity ₦'000
Balance at 1 January 2026		169,761	47,370,140	47,539,901
Profit for the period	14	-	1,171,296	1,171,296
Total comprehensive profit for the period		-	1,171,296	1,171,296
Balance at 31 March 2026		**169,761**	**48,541,436**	**48,711,197**

for the year ended 31 March 2025

	Notes	Share capital ₦'000	Retained earnings ₦'000	Total equity ₦'000
Balance as at 1 January 2025		169,761	74,911,277	75,081,038
Profit for the period	14	-	(120,027)	(120,027)
Total comprehensive income for the period		-	(120,027)	(120,027)
Transactions with owners of the Company:				
Contributions and Distributions				
Prior year final dividend	13.1	-	(13,580,873)	(13,580,873)
Total transactions with owners of the Company		-	(13,580,873)	(13,580,873)
Balance at 31 March 2025		**169,761**	**61,210,377**	**61,380,138**

The accompanying notes form an integral part of these financial statements.

TOTALENERGIES MARKETING NIGERIA PLC

STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED

	Note	31 March 2026 ₦'000	31 March 2025 ₦'000
Profit/(loss) for the period		1,171,296	(120,027)
Adjustments for:			
Depreciation of property, plant and equipment	16	3,040,795	1,753,096
Depreciation of right-of-use asset	17 (i)	744,222	496,617
Amortisation of intangible assets	15	14,217	14,474
Provision for employee benefits	12 (i)	306,757	477,200
Net impairment write-back on financial assets	19 (a)	23,912	17,095
Write back of inventory (Net)	18 (a)	1,492,232	-
(Gain)/loss on disposal of property, plant and equipment	8.1	(696)	6,586
Net foreign exchange gain	8.2	(172,981)	(490,417)
Net finance costs	9	4,276,885	5,842,319
Income taxation	11.1.1	742,565	133,872
Minimum taxation	11.1.3	-	1,108,106
		11,639,205	9,238,921
Changes in:			
- Inventories	18 (a)	34,275,446	37,063,096
- Trade and other receivables	19.1 (a)	3,767,081	(13,641,213)
- Prepayments	20 (a)	(2,495,107)	(143,006)
- Trade and other payables	24 (a)	(48,330,548)	(28,368,890)
- Witholding tax credit note utilized	11.2.1	(614,267)	(8,792)
- Deferred income	25 (a)	(362,851)	353,721
Cash (used in)/generated from operating activities		**(2,121,041)**	**4,493,837**
Payment for employee benefits	12 (i)	(5,023)	(821)
Interest received on staff loans	9	66,228	86,503
Interest paid on lease liabilities	9	(188,926)	(46,895)
Net cash (used in)/generated from operating activities		**(2,248,762)**	**4,532,624**
Cash flows from investing activities			
Additions to right-of-use asset	17 (iii)	(3,820,383)	(12,750)
Purchase of property, plant and equipment	16	(1,413,546)	(1,715,669)
Interest received on deposits for unclaimed dividend	9	66,987	28,867
Decrease/(increase) in long term receivables	19.1 (a)	1,102,788	1,550,094
New leases	23	1,585,227	(93,452)
Interest received on deposits	9	357,708	871,609
Proceeds from disposal of property, plant and equipment	16.2	696	-
Net cash (used in)/generated from investing activities		**(2,120,523)**	**628,700**
Cash flows from financing activities			
Interest paid on bank overdraft	9	(4,578,882)	(6,782,403)
Payment on lease liabilities	23	(320,452)	(625,860)
Dividends paid	13.1	(5,153)	-
Net cash used in financing activities		**(4,904,487)**	**(7,408,262)**
Net decrease in cash and cash equivalents		**(9,273,772)**	**(2,246,938)**
Cash and cash equivalents at 1 January		(39,887,072)	(24,387,135)
Effect of movement in exchange rates on cash held	8.2	(2,296,090)	14,961,740
Cash and cash equivalents as at period ended 31 March	27	**(51,456,934)**	**(11,672,333)**
Cash and cash equivalents as at year ended 31 December			**(39,887,072)**

The accompanying notes form an integral part of these financial statements.

TOTALENERGIES MARKETING NIGERIA PLC

NOTES TO THE FINANCIAL STATEMENTS

1 The Company

Legal form:

The Company was incorporated in NIgeria as a private limited liability company in 1956 and was converted to a public company in 1978. The merger of the Company with Elf Oil Nigeria Limited which commenced globally in November 1999 was completed in Nigeria in 2002. With this development, the authorised, issued and fully paid share capital was ₦148,541,000 made up of 297,082,000 ordinary shares of 50k each. In 2003, to mark the completion of its corporate mergers, Total Group worldwide reverted to its former name Total and adopted a new logo with a unifying design to express its corporate ambition.

With the capitalisation of the bonus issue of 42,440,228 ordinary shares of 50k each in March 2004, the authorised share capital became ₦169,760,918 made up of 339,521,837 ordinary shares of 50k each. 61.72% of the Company's ordinary shares were held by Total Societe Anonyme up until 2013 when a restructuring was concluded and Total Raffinage Marketing became the shareholders of 61.72% of Total Nigeria Plc (now TotalEnergies Marketing Nigeria Plc) while the remaining 38.28% are held by some members of the general public. Total Raffinage Marketing is now called TotalEnergies Marketing Services.

In 2021, Total Group worldwide changed its name to TotalEnergies and adopted a new logo, thereby anchoring the transformation into a broad energy business within the Company's identity. Accordingly, the Company changed its name from Total Nigeria Plc to TotalEnergies Marketing Nigeria Plc in the same period.

	31 March 2026		31 December 2025	
	Number	**Holdings**	**Number**	**Holdings**
	'000	**%**	**'000**	**%**
TotalEnergies Marketing Service	209,560	61.72	209,560	61.72
Other shareholders	129,962	38.28	129,962	38.28
	339,522	**100.00**	**339,522**	**100.00**

No shareholder, except as disclosed above, held more than 5% of the issued share capital of the Company as at 31 March 2026 (2025: nil).

Principal activities

The principal activity of the Company is the blending of lubricants, sales and marketing of refined petroleum products and solar products.

Description of business

TotalEnergies Marketing Nigeria Plc. ("the Company") is a subsidiary of TotalEnergies Marketing Services ("the Parent Company") in France and operates in the petroleum marketing and distribution business in Nigeria. The Company's registered office is situated at:

Plot 1415-E, Adetokunbo Ademola Street
Victoria Island
Lagos State

2 Basis of preparation

These financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS Acounting Standards) as issued by the International Accounting Standards Board (IASB) and interpretations issued by the IFRS Interpretations Committee (IFRIC). The financial statements comply with IFRS Accounting Standards Board as issued, applicable to companies reporting under IFRS Accounting Standards, in the manner required by the Financial Reporting Council (FRC) of Nigeria (Amendment) Act, 2023 and the Companies and Allied Matters Act (CAMA), 2020.

TOTALENERGIES MARKETING NIGERIA PLC

NOTES TO THE FINANCIAL STATEMENTS

2.2 Basis of measurement

These financial statements have been prepared under the going concern and historical cost convention except for defined benefit liability measured using the projected unit credit method and lease liabilty measured at the present value of future lease payments.

2.3 Functional and presentation currency

These financial statements are presented in Nigerian Naira (NGN), which is the Company's functional currency. All financial information presented in Nigerian Naira have been rounded to the nearest thousand except otherwise stated.

2.4 Financial period

These financial statements cover the financial period from 01 January 2026 to 31 March 2026, with corresponding figures for the financial period from 01 January, 2025 to 31 March, 2025 and 01 January 2025 to 31 December, 2025 where applicable.

2.5 Going concern

The directors have undertaken a review of the Company's business activities and have concluded that the Company will still be able to realise its assets and settle its obligations as they fall due and as such these financial statements have been prepared on the basis applicable to a going concern.

2.6 Significant events and transactions

Other than events already disclosed in the relevant notes, there are no other significant events in the period that are required to be disclosed.

2.7 Use of estimates and judgments

In preparing these financial statements, the directors have made certain judgements, estimates and assumptions that affect the application of the Company's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised prospectively.

(a) *Judgement*

Information about judgements made in applying accounting policies that have the most significant effects on amounts recognised in the financial statements are as follows;

(i) Lease term - Note 17 (iv)

In determining the lease term, management considers all facts and circumstances that create an economic incentive to exercise an extension option, or not exercise a termination option. Extension options (or years after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated).

(ii) Asset retirement - Note 17 (iv)

Management is required to estimate asset retirement obligations relating to the dismantling and the restoration of leased sites. These estimates involve significant judgement regarding the expected costs and timing of decommissioning activities. Based on current assessments, the financial impact of these obligations are considered immaterial.

(b) *Assumptions and estimation uncertainties*

Information about assumptions and estimation uncertainties at 31 March 2026 that have a significant risk of resulting in a material adjustment to the carrying amounts of assets and liabilities in the next financial period includes;

(i) Measurement of defined benefit obligation: Key actuarial assumptions

The amount recognised in note 12 of the financial statements as employee benefits - measurement of the Company's employee benefits. This estimate relates to the discount rate, withdrawal, mortality and inflation rate applied in the computation of the Company's liabilities.

(ii) Measurement of Expected Credit Loss (ECL) allowance - Note 30(iv)

Information about measurement of trade receivables and contract assets: Key assumptions in determining the weighted-average loss rate.

(iii) Depreciation

Depreciation is based on management’s estimates of asset useful lives and residual values, which may change over time.

(iv) Income and deferred tax - Note 11

The determination of income and deferred tax requires management judgement in estimating taxable profits and the recoverability of deferred tax assets.

(v) Measurement of contingencies - Note 28

Recognition of contingencies - key assumptions about likelihood and magnitude of an outflow of resources.

(vi) Incremental borrowing rate - Note 23

Estimation of the applicable borrowing rates for lease liability.

TOTALENERGIES MARKETING NIGERIA PLC

NOTES TO THE FINANCIAL STATEMENTS

3 New standards and interpretations

Amendments to Standards and Interpretations are effective for annual periods beginning after 1 January 2026 and early application is permitted; however, the Company has not applied the amended standards in preparing these financial statements. Those Amendments to Standards and Interpretations which may be relevant to the Company are set out below.

The directors are of the opinion that the impact of the application of the relevant standards and interpretations will be as follows:

Standard/Interpretation effective as at 31 March 2026		**Date issued by IASB**	**Effective date Periods beginning on or after**	**Summary of the requirements and assessment of impact**
Amendment to IFRS 9 and IFRS 7	*Amendment to the classification and measurement of financial instruments*	May 2024	1 January 2026	On 30 May 2024, the IASB issued targeted amendments to IFRS Accounting Standards 9 Financial Instruments and IFRS Accounting Standards 7 Financial Instruments: Disclosure to respond to recent questions arising in practice, and to include new requirements not only for financial institutions but also for corporate entities. These amendments: a) clarify the date of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system; b) clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion c) add new disclosure for certain instruments with contractual terms that can change cash flows (such as some financial instruments with features linked to the achievement of environment, social and governance targets); and d) update the disclosures for equity instruments designated at fair value through other comprehensive income (FVOCI). The amendments in (b) are most relevant to financial institutions, but the amendments in (a), (c) and (d) are relevant to all entities. The amendments are not expected to have a significant impact on the company's financial statements.
Amendment to IFRS 1	*Hedge accounting by a first-time adopter*	July 2024	1 January 2026	This amendment clarifies the interaction between IFRS 1 and IFRS 9 regarding hedge accounting on transition. It resolves a potential inconsistency between paragraph B6 of IFRS 1 and the hedge accounting requirements of IFRS 9. Specifically, the amendment confirms that a first-time adopter can only continue hedge accounting relationships at the date of transition if those relationships meet the qualifying criteria under IFRS 9. Hedging relationships that were valid under previous GAAP but do not comply with IFRS 9 must be discontinued on transition. The amendments are not expected to have a significant impact on the company's financial statements.
Amendment to IFRS 7	*Gain or loss on derecognition.*	July 2024	1 January 2026	The amendment clarifies wording in paragraph B38 of IFRS 7 regarding disclosures related to gains or losses arising from the derecognition of financial assets. The previous wording included an obsolete reference to a paragraph that was removed when IFRS 13 Fair Value Measurement was issued. The amendment corrects this reference to eliminate potential confusion and ensure consistent application of the disclosure requirements. The amendments are not expected to have a significant impact on the company's financial statements.
Amendment to IFRS 7	*Disclosure of deferred difference between fair value and transaction price.*	July 2024	1 January 2026	This amendment corrects an inconsistency between paragraph 28 of IFRS 7 and the related paragraph in the Implementation Guidance (IG). The inconsistency arose after a consequential amendment made to IFRS 7 following the issuance of IFRS 13 Fair Value Measurement. While paragraph 28 was updated to align with IFRS 13's fair value concepts, the corresponding paragraph in the implementation guidance was not updated, resulting in conflicting wording regarding the disclosure of deferred differences between fair value and transaction price. The amendment updates the implementation guidance to ensure consistency with the revised requirements in paragraph 28. The amendments are not expected to have a significant impact on the company's financial statements.
Amendment to IFRS 7	*Introduction and credit risk disclosures.*	July 2024	1 January 2026	The amendment addresses a potential confusion by clarifying in paragraph IG1 that the guidance does not necessarily illustrate all the requirements in the referenced paragraphs of IFRS 7 and by simplifying some explanations. The amendments are not expected to have a significant impact on the company's financial statements.
Amendment to IFRS 9	*Lessee derecognition of lease liabilities.*	July 2024	1 January 2026	The amendment addresses a potential lack of clarity in the application of the requirements in IFRS 9 to account for an extinguishment of a lessee's lease liability that arises because paragraph 2.1(b)(ii) of IFRS 9 includes a cross-reference to paragraph 3.3.1, but not also to paragraph 3.3.3 of IFRS 9. The amendments are not expected to have a significant impact on the company's financial statements.

3.1 New standards and interpretations not yet adopted (cont'd)

Standard/Interpretation effective as at 31 March 2026		**Date issued by IASB**	**Effective date Periods beginning on or after**	**Summary of the requirements and assessment of impact**
Amendment to IFRS 9	*Transaction price*	July 2024	1 January 2026	The amendment addresses a potential confusion arising from a reference in Appendix A to IFRS 9 to the definition of ‘transaction price’ in IFRS 15 Revenue from Contracts with Customers while term ‘transaction price’ is used in particular paragraphs of IFRS 9 with a meaning that is not necessarily consistent with the definition of that term in IFRS 15. The amendments are not expected to have a significant impact on the company's financial statements.
Amendment to IFRS 10	*Determination of a ‘de facto agent’*	July 2024	1 January 2026	This amendment clarifies potential confusion in determining whether another party is acting as a ‘de facto agent’ of an investor. The previous wording in paragraphs B73 and B74 of IFRS 10 was not fully aligned and could lead to inconsistent interpretations when assessing whether a party is acting on behalf of the investor. The amendment aligns the language in both paragraphs to ensure a consistent approach when evaluating whether relationships or decision-making rights indicate that another party is effectively acting as the investor’s agent. The amendments are not expected to have a significant impact on the company's financial statements.
Amendment to IAS 7	*Use of the Term “Cost Method*	July 2024	1 January 2026	This amendment clarifies wording in paragraph 37 of IAS 7 regarding cash flows arising from dividends received. The term “cost method”, previously used in the standard, is no longer defined within IFRS Accounting Standards and therefore created potential confusion in interpretation. The amendment removes the obsolete terminology and replaces it with language that aligns with current IFRS concepts for accounting for investments, thereby improving clarity and consistency in application. The amendments are not expected to have a significant impact on the company's financial statements.

Standard/Interpretation not yet effective as at 31 March 2026		**Date issued by IASB**	**Effective date Periods beginning on or after**	**Summary of the requirements and assessment of impact**
IFRS 18	*Presentation and disclosure in financial statements*	April 2024	1 January 2027	The objective of IFRS 18 is to set out requirements for the presentation and disclosure of information in general purpose financial statements (financial statements) to help ensure they provide relevant information that faithfully represents an entity’s assets, liabilities, equity, income and expenses. [IFRS 18.1] IFRS 18 applies to all financial statements that are prepared and presented in accordance with International Financial Reporting Standards (IFRSs). [IFRS 18.2] Standards for recognising, measuring, and disclosing specific transactions are addressed in other Standards and Interpretations. [IFRS 18.4] A complete set of financial statements comprises: [IFRS 18.10] -a statement (or statements) of financial performance for the reporting period (presented as either a single statement or by presenting a statement of profit or loss immediately followed by a separate statement presenting comprehensive income beginning with profit and loss); -a statement of financial position as at the end of the reporting period; -a statement of changes in equity for the reporting period; -a statement of cash flows for the reporting period; -notes for the reporting period; -comparative information in respect of the preceding period as specified by the standard; -a statement of financial position as at the beginning of the preceding period if the entity applies an accounting policy retrospectively, makes a retrospective restatement of items in its financial statements or reclassifies items in its financial statements (given that this results in material information). The amendments are not expected to have a significant impact on the company's financial statements.

NOTES TO THE FINANCIAL STATEMENTS

4 Significant accounting policies

The accounting policies set out below have been applied consistently to all periods presented in these financial statements.

4.1 Foreign currency transactions

Transactions denominated in foreign currencies are translated at the exchange rate on the transaction date. At each reporting date, monetary assets and liabilities are translated at the closing rate. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency translated at the exchange rate at the date of the transaction. Exchange differences are recognised in profit or loss on a net basis as "Other income" (net foreign exchange gain) or "Other expenses" (net foreign exchange loss).

4.2 Revenue and other income

(i) Revenue recognition

The Company accounts for contracts within the scope of IFRS 15 'Revenue from contracts with customers' when a contract has been approved by both parties, each party's rights have been clearly identified, payment terms have been clearly identified, the contract has commercial substance and it is probable that the Company will collect the consideration it is entitled to for the transfer of refined petroleum products and lubricants to the customer.

Definition of customer

A customer is a party that has contracted with the Company to obtain refined petroleum products and lubricants that are an output of the Company's ordinary activities in exchange for consideration. A counterparty would not be a customer if it has entered into a contract to share in the risk and benefits that result from the activity or process.

Revenue streams

The Company generates revenue primarily from the sale of refined petroleum products and lubricants to its customers (see note 6). Other sources of revenue include sale of special fluids and solar products.

Performance obligations and revenue recognition policies

Revenue is measured based on the consideration specified in a contract with a customer. The Company recognises revenue when it transfers control over a good or service to a customer. Revenue from the sale of non-regulated products in the course of ordinary activities is measured at the fair value of the received consideration or receivable, net of value adde tax, sales returns, trade discounts and volume rebates where applicable. Revenue for regulated products is measured at the regulated price of the products net of standard distribution cost directly recoverable from the prices of the regulated products.

The following table provides information about the timing of the satisfaction of performance obligations in contracts with customers, including significant payment terms, and the related revenue recognition policies.

Nature and timing of satisfaction of performance obligations, including significant payment terms.	**Revenue recognition policies**
Customers obtain control of products when the goods are delivered to and have been accepted at their premises or picked up by the customer. Invoices are generated and revenue is recognised when the product is released. Credit sales are due for collection within 30 days. This applies to all sales products.	Revenue is recognised when the goods are released to nominated transporter, delivered and have been accepted by customers at their premises or picked up by the customer.

Transaction price

Transaction price is the amount allocated to the performance obligations identified in the contract. It represents the amount of revenue recognised as those performance obligations are satisfied. Complexities may arise where a contract includes variable consideration, significant financing component or consideration payable to a customer.

Financing component

The Company does not expect to have any contracts where the period between the transfer of the promised goods or services to the customer and payment by the customer exceeds one year. As a consequence, the group does not adjust any of the transaction prices for the time value of money.

Contract assets and liabilities

The Company recognises contract assets for unbilled revenue from lubricant sales and sales of refined petroleum products where right is conditioned on factors other than the passage of time. The Company recognises contract liability for consideration received for which performance obligation has not been met.

Disaggregation of revenue from contract with customers

The Company derives revenue mainly from two types of products, lubricants and refined petroleum products. Other sources of revenue include sale of special fluids and solar products. The Company has determined that the disaggregation of revenue based on the criteria of type of products meets the disclosure requirement of IFRS 15.

4.2 Revenue and other income (cont'd)

(ii) Other income

The Company recognises income from commission on sales at its bonjour shops as well as the rental of some of its space. The period of occupancy is the basis upon which rental income is recognised and the lease term is usually for 12 months. Rental income are for short term leases and are recognised in profit or loss on a straight line basis over the term of the lease.

4.3 Finance income and finance costs

The Company's finance income comprises interest income on bank balances, deposit for unclaimed dividend and advances to employees. Interest income on bank balances, deposit for unclaimed dividend and advances to employees, is recognised as it accrues in profit or loss, using the effective interest method.

Finance costs comprise interest on lease liabilities, interest on import loans, interest on bank overdrafts and interest on other loans. Interest expenses are recognised in profit or loss using the effective interest method.

The ‘effective interest rate’ is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:
– the gross carrying amount of the financial asset; or
– the amortised cost of the financial liability.

4.4 Income taxes

Income tax expense comprises current tax (company income tax and Development levy) and deferred tax movement. It is recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in equity or in other comprehensive income.
The Company had determined that interest and penalties relating to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and therefore are accounted for under IAS 37 Provisions, Contingent Liabilities and Contingent Assets.

Current taxes

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year, and any adjustment to tax payable or receivable in respect of previous years.

The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted at the reporting date and is assessed as follows:

- Company income tax is computed on taxable profits (i.e the assessable profit after capital allowances (tax depreciation) and brought forward losses (if any) have been considered).

- Development Levy is computed on assessable profits (i.e the profit of the Company that is liable to tax after exempting non-taxable income and subjecting to tax, expenses which were not wholly or exclusively incurred for the operations of the Company, but before the consideration of capital allowances and losses).

Total amount of tax payable under NTA 2025 is determined based on the higher of two components namely Company Income Tax (based on taxable income (or loss) for the year); and minimum effective tax. Taxes based on profit for the period are treated as income tax in line with IAS 12.

Minimum effective tax

Minimum effective tax (15% of adjusted net profit) is outside the scope of IAS 12 and therefore, are not presented as part of income tax expense in the profit or loss. Under the NTA 2025, a company must ensure that its effective tax rate for a financial year is not less than 15% of its Adjusted Net Profit. Where the company’s effective tax rate is below 15%, the company must pay additional tax to bring the effective tax rate up to exactly 15%.
In line with the NTA 2025, minimum effective tax is determined at a base rate of 15% of the qualifying company’s adjusted net profit. In defining effective tax rate, section 57 (5) states that “effective tax rate” means the rate produced by dividing the aggregate covered tax paid or payable by a company for a year of assessment by the profits of the company; and “profits” means the net profits before tax as reported in the audited financial statement less 5% of depreciation and personnel cost for the year. The NTA 2025 defines covered taxes as companies’ income tax, petroleum profit tax, and hydrocarbon tax paid or payable, development levy, and priority sector tax credits while net income refers to the profit before tax as reported in the audited financial statements excluding franked investment income and unrealised gains or losses.

4.4 Income taxes (cont'd)

Where the minimum effective tax charge is higher than the Company Income Tax (CIT), a hybrid tax situation exists. In this situation, the CIT is recognised in the income tax expense line in the profit or loss and the excess amount is presented above the income tax line as minimum tax.
The Company offsets the tax assets arising from withholding tax (WHT) credits and current tax liabilities if, and only if, the entity has a legally enforceable right to set off the recognised amounts, and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously. The tax asset is reviewed at each reporting date and written down to the extent that it is no longer probable that future economic benefit would be realised.

Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.
Deferred tax is not recognised for:
– temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
– temporary differences related to investments in subsidiaries, associates and joint arrangements to the extent that the Company is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future; and
– taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Future taxable profits are determined based on the reversal of relevant taxable temporary differences.

If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plans of the Company. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date, and reflects uncertainty related to income taxes, if any.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.
Deferred tax assets and liabilities are offset only if certain criteria are met,
- if the entity has the legal right and the intention to settle on a net basis
- if the entity has the legal right to settle current tax amounts on a net basis and the deferred tax amounts are levied by the same taxing authority on the same entity or different entities that intend to realise the asset and settle the liability at the same time.

The Company has the legal right to settle current tax amounts on a net basis as the deferred tax amounts are levied by the same tax authority.

Accounting for uncertain tax treatments under IFRIC 23

The Company’s judgements with respect to income taxes are based on the likelihoods that the tax authority will accept an uncertain tax treatment that has been taken or is expected to be taken on its tax returns. The Company specifically reviews whether its tax treatments are consistent with requirements and recommendations of tax laws while ensuring its proper coverage of avoidable tax risks and exposures in the process.

The Company measures the impact of the uncertainty using the method that best predicts the resolution of the uncertainty; either the most likely amount method or the expected value method. Furthermore, the judgements and estimates made to recognise and measure the effect of uncertain tax treatments are reassessed whenever circumstances change or when there is new information that affects those judgements.

4.5 Earnings per share (EPS)

i *Basic earnings per share*

Basic earnings per share is calculated by dividing the profit attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period, adjusted for bonus elements in ordinary shares issued during the period.

ii *Diluted earnings per share*

Diluted earnings per share adjusts the figures used in the determination of Basic earnings per share to take into account the weighted average number of additional shares that would have been outstanding assuming the conversion of all dilutive potential ordinary shares.

4.6 Property, plant and equipment

i Recognition, derecognition and measurement

Property, plant and equipment are measured at cost at initial recognition and cost less accumulated depreciation and any accumulated impairment losses for subsequent recognition.
The cost of an item of property, plant and equipment shall be recognised as an asset if;
- it is possible that future economic benefits associates with the item will flow to the entity: and
- the cost of the item can be measured reliably.

Property, plant and equipment under construction are disclosed as work in progress. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to a working condition for their intended use including, where applicable, the cost of dismantling and removing the items and restoring the site on which they are located and borrowing costs on qualifying assets.

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognised in profit or loss.

Property, plant and equipment are derecognised on disposal or when it is withdrawn from use and no future economic benefits are expected from its disposal.

ii Subsequent costs

The cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of property, plant and equipment are recognised in profit or loss as incurred.

iii Depreciation

Depreciation is calculated to write off the cost of items of property, plant and equipment less their estimated residual values using the straight-line method over their estimated useful lives, and is generally recognised in profit or loss.
Depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.
Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term.

Property, plant and equipment are depreciated to their residual values using the straight-line method over their useful lives for current and comparative years as follows:

Type of asset	**Useful lives**
· Motor vehicles	5 Years
· Office equipment and furniture	4 years
· Computer equipment and other tangibles	4 - 20 years
· Plant, machinery and fittings	3 - 30 years
· Buildings	10 - 25 years
· Land	Not depreciated

Capital work in progress and land are not depreciated and are carried at cost less accumulated impairment. The attributable cost of each asset is transferred to the relevant asset category immediately the asset is available for use and depreciated accordingly.

4.7 Intangible assets

i Recognition and measurement

Intangible assets that are acquired by the Company and have finite useful lives are measured at cost less accumulated amortisation and accumulated impairment losses.

Intangible assets are computer software and software licenses. These are capitalised on the basis of acquisition costs as well as costs incurred to bring the assets to use.

Intangible assets are derecognised upon sale. The gain or loss arising from the derecognition of an intangible asset shall be determined as the difference between the net disposal proceeds, if any, and the carrying amount of the asset.

ii Subsequent expenditure

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific intangible asset to which it relates. All other expenditure is recognised in profit or loss as incurred.

iii Amortisation of intangible assets

Amortisation is calculated on the cost of the asset, or other amount substituted for cost, less its estimated residual value. Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives of intangible assets from the date that they are available for use, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset.

Computer software and software licences have estimated useful lives of 3 to 5 years.

Amortisation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

4.8 Dividend payable

An accrual is made for the amount of any dividend declared, being appropriately authorised and no longer at the discretion of the Company, on or before the end of the reporting year but not distributed at the end of the reporting year.

Any accrual made in respect of dividend payable is recognised as a deduction from equity.

4.9 Impairment

i Non-derivative financial assets

Financial instruments

The Company recognises loss allowances for Expected Credit Losses (ECLs) on financial assets measured at amortised cost. The company also recognises loss allowances for ECLs on employee loan receivables which are disclosed as part of trade and other receivables. (See note 19)

The Company measures loss allowances at an amount equal to lifetime ECLs, except for bank balances, lease and loan receivables for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition, which are measured at 12-month ECLs. Loss allowance for trade receivables are always measured at an amount equal to lifetime ECL.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment and including forward-looking information.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument. 12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Company is exposed to credit risk

The Company assumes that the credit risk on a financial asset has increased significantly if it is more than 90 days past due.

The Company's credit terms to customers vary from 30 days to 90 days depending on the nature of industry, customer preferences and negotiation. Based on the logistics, distribution and operational dynamics of our major customers, the significant increase credit risk threshold is set at 90 days.

The company considers a financial asset to be in default when:

– the debtor is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held).

- balances are over 90 days past due in line with the Company's provisioning matrix.

The Company applies simplified approach to determine impairment of trade receivables. The three-stage model is applied to cash and cash equivalent.

The simplified approach requires expected lifetime losses to be recognised from initial recognition of the trade receivables. This involves determining the expected loss rates using a provision matrix that is based on the Company's historical default rates observed over the expected life of the trade receivables and adjusted forward-looking estimates. This is then applied to the gross carrying amount of the trade receivables to arrive at the loss allowance for the period.

The three-stage approach assesses impairment based on changes in credit risk since initial recognition using the past due criterion and other qualitative indicators such as increase in political concerns or other macroeconomic factors and the risk of legal action, sanction or other regulatory penalties that may impair future financial performance.

4.9 Impairment (cont'd)

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive).

Credit-impaired financial assets

At each reporting date, the Company assesses whether financial assets carried at amortised cost are credit-impaired. A financial asset is ‘credit-impaired’ when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit-impaired includes the following observable data:
– significant financial difficulty of the borrower or issuer;
– a breach of contract such as a default or being more than 360 days past due; or
– it is probable that the borrower will enter bankruptcy or other financial reorganisation.

Presentation of allowance for ECL in the statement of financial position
Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

Write-off

The gross carrying amount of a financial asset is written off when the Company has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For customers, the Company makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. The Company expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Company’s procedures for recovery of amounts due.

ii Non financial assets
At each reporting date, the Company reviews the carrying amounts of its non-financial assets (other than inventories and deferred tax assets) to determine whether there is any indication of impairment. If any such indication exists, then the asset’s recoverable amount is estimated.

For impairment testing, assets are grouped together into the smallest group of assets that generates cash flows from continuing use that are largely independent of the cash flows of other assets or Cash Generating Units (CGUs).

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU.

An impairment loss is recognised if the carrying amount of an asset or CGU exceeds its estimated recoverable amount.
Impairment losses are recognised in profit or loss. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

4.10 Financial instruments

i Recognition and initial measurement
Trade receivables are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Company becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.
The Company does not have any financial assets measured at FVOCI or FVTPL.

NOTES TO THE FINANCIAL STATEMENTS

4.10 Financial instruments (cont'd)

ii Classification and subsequent measurement

Financial assets

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting year following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cashflows.
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial Assets at Fair value through OCI (FVOCI)

Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses, which are recognised in profit or loss.

When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains/(losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains/(losses), and impairment expenses are presented as separate line item in the statement of profit or loss.

The Company has no debt instruments within this category.

All financial assets not classified as measured at amortised cost or fair value through other comprehensive income (FVOCI) are measured at FVTPL. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets - Business model assessment

The Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets:
- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- the frequency, volume and timing of sales of financial assets in prior years, the reasons for such sales and expectations about future sales activity.

Transfer of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose consistent with the company's continuing recognition of the assets.

Financial assets that are held for trading or are merged and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

NOTES TO THE FINANCIAL STATEMENTS

4.10 Financial instruments (cont'd)

In assessing whether the contractual cash flows are solely payments of principal and interest, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Company considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse features).

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets – Subsequent measurement and gains and losses

Financial assets at amortised cost

These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost, net of impairment is recognised in the statement of financial position. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Financial liabilities – Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss. The Company does not have any financial liabilities measured at FVTPL.

iii Derecognition

Financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset. The Company enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

Financial liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Company also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value. On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

iv Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

NOTES TO THE FINANCIAL STATEMENTS

4.11 Share capital

The Company has only one class of shares namely ordinary shares. Ordinary shares are classified as equity. When new shares are issued, they are recorded in share capital at their par value. The excess of the issue price over the par value is recorded in the share premium reserve.

Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

When shares recognised as equity are repurchased, the amount of the consideration paid, which includes directly attributable costs, net of any tax effects, is recognised as a deduction from equity.

4.12 Statement of cash flows

The statement of cash flows is prepared using the indirect method. Dividends paid to ordinary shareholders are included in financing activities. Interest paid is also included in financing activities while interest received is included in investing activities. Interest received on employee loans and receivables, foreign exchange differential and Interest on lease liabilities are included in operating activities.

4.13 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, cash balances with commercial banks and Total Treasury as well as call deposits with original maturities of three months or less. Bank overdrafts that are repayable on demand and form an integral part of the Company's cash management are included as a component of cash and cash equivalents for the purpose of the statement of cash flows. Bank overdrafts are shown within borrowings in current liabilities on the statement of financial position.

4.14 Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of blended products/lubricants includes an appropriate share of production overheads based on normal operating capacity.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses. Inventory values are adjusted for obsolete, slow-moving or defective items.

The basis of costing inventories based on the product types are as follows:

Product Type	Cost Basis
Refined Petroleum Products (AGO, ATK, PMS, DPK, LPFO)	First In First Out (FIFO)
Packaging Materials, Solar Lamps, Lubricants, base oils, Greases, Special fuids and Car care products	Weighted Average Cost
Inventories-in-transit	Total purchase cost incurred at transaction date

4.15 Provisions

Provisions comprise liabilities for which the amount and the timing are uncertain. They arise from environmental risks, legal and tax risks, litigation and other risks. A provision is recognised when the Company has a present obligation (legal or constructive) as a result of a past event for which it is probable that an outflow of resources will be required and when a reliable estimate can be made regarding the amount of the obligation. Provisions are determined by discounting the expected future cash flow at a pre-tax rate that reflects current market assessment of the value and the risk specific to the liability. The unwinding of the discount is recognised in profit or loss as a finance cost.

However, possible obligations depending on whether or not certain future events occur are disclosed as contingent liabilities.

4.16 Prepayment

Prepayments represent amounts paid in advance for goods or services to be received in future periods. Prepayments are initially recognised at the amount of cash paid and are subsequently expensed to profit or loss in the period to which the related goods or services are consumed. Prepayments are classified as current assets when the underlying benefit is expected to be realised within twelve (12) months after the reporting date; otherwise, they are classified as non-current assets.

NOTES TO THE FINANCIAL STATEMENTS

4.16 Employee benefits

Post-employment benefit

(a) Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity. The Company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

In line with the provisions of the Pension Reform Act 2014, the Company has instituted a defined contribution pension scheme for its permanent staff. Employees contribute 8% of their Basic salary, Transport and Housing Allowances to the Fund on a monthly basis. The Company’s contribution is 10% of each employee’s Basic salary, Transport and Housing Allowances. Staff contributions to the scheme are funded through payroll deductions while the Company’s contribution is recognised in profit or loss as staff costs in the periods during which services are rendered by employees.

(b) Defined benefit plan

i Gratuity scheme

The Company operates a gratuity scheme for its employees in service before January 2001. This is funded by the Company on a monthly basis, at a rate of contribution of 9.5% of total annual emolument and paid to Fund Managers chosen by each employee.

The Company's obligation are extinguished once the amounts have been transferred to the Fund Managers.

ii Other long-term employee benefits

The Company’s other long-term employee benefits represents a Long Service Award scheme for a minimum milestone of ten (10) years and the Total home ownership scheme (TEHOS) which is a one-off payment upon tenth anniversary. These schemes are instituted for all permanent employees. The Company’s obligations in respect of these schemes are the amounts of future benefits that employees have earned in return for their service in the current and prior periods. The benefit is discounted to determine its present value. The liability duration of the scheme is estimated at 2.64 years. The Company has compared this with the Macaulay duration of the closest Federal Government of Nigeria bonds as at 31st December 2025 which were 2.52 years with a gross redemption yield of about 16.98%. Thus, we adopted a discount rate of 17%. The calculation is performed using the Projected Unit Credit method. Remeasurements are recognised in profit or loss in the period in which they arise. This Scheme is not funded. The obligations are paid out of the Company’s cash flows as and when due.

iii Termination benefits

Termination benefits are expensed at the earlier of when the Company can no longer withdraw the offer of those benefits and when the Company recognises costs for a restructuring. If benefits are not expected to be settled wholly within 12 months of the end of the reporting period, then they are discounted.

iv Post-employment medical services

The Company’s post-retirement medical coverage is for seven (7) years on early retirement or ten (10) years on normal retirement (i.e. at the retirement age of 60 years). This scheme is instituted for all permanent employees and is provided after the completion of employment via the Health Insurance Scheme offered third party providers. The Company's exposure under this arrangement is limited to premium payable to the providers. The benefit is discounted to determine its present value. return for their service in the current and prior years. The benefit is discounted to determine its present value. The discount rate is a result of the Company's objective to ensure underlying cost inflation remains below country headline inflation having considered the weighted average of Seven (7) years yield on Federal Government of Nigeria issued bonds that have maturity dates approximating the term of the Company’s obligation. The calculation is performed using the Projected Unit Credit method. Remeasurements which comprise actuarial gains or losses are recognized in other comprehensive income in the period in which they arise. Net interest expense and other expenses related to the post employment benefits are recognised in profit or loss. This Scheme is not funded. The obligations are paid out of the Company’s cash flows as and when due.

Other benefits

i Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

4.17 Decommissioning cost

Provisions for costs to dismantle, remove or restore property, plant and equipment, including leased assets are recognised when the obligation arises, either at the commencement of the lease or as a result of using the underlying asset during the lease term. The provision represents management’s best estimate of the expected expenditure required to restore the asset or site in accordance with the relevant contractual terms.

4.18 Government grant

Petroleum Products Pricing Regulatory Agency (PPPRA) subsidises the cost of importation of certain refined petroleum products whose prices are regulated in the Nigerian market. The subsidies are recognised when there is reasonable assurance that they will be recovered and the Company has complied with the conditions attached to receiving the subsidy. The subsidies are recognised as a reduction to the landing cost of the subsidised petroleum product in the period in which the Company makes the determination that all conditions have been met and the amount will be recovered. Where the amounts relate to interest and foreign exchange differentials, they are recognised in profit or loss when there is reasonable assurance that the amounts will be recovered. (Note 30)

4.19 Operating Profit

Operating profit is the result generated from the continuing principal revenue producing activities of the Company as well as other income and expenses related to operating activities. Operating profit excludes net finance costs and income taxes.

4.20 Measurement of fair values

Some of the Company's accounting policies and disclosures require the determination of fair value, for both financial and non-financial assets and liabilities.

The Company has an established control framework with respect to the measurement of fair values. The Final Accounts Manager (FAM) has overall responsibility for overseeing all significant fair value measurements, including Level 3 fair values, and reports directly to the Board of Directors.

The FAM regularly reviews significant unobservable inputs and valuation adjustments. If third party information, such as broker quotes or pricing services, is used to measure fair values, then the FAM assesses the evidence obtained from the third parties to support the conclusion that such valuations meet the requirements of IFRS, including the level in the fair value hierarchy in which such valuations should be classified. Significant valuation issues are reported to the Audit Committee and the Board of Directors.

When measuring the fair value of an asset or a liability, the Company uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs)

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Company recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

4.21 Leases

At inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

A. As a lessee

At commencement or on modification of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Company has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.
The Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Company by the end of the lease term or the cost of the right-of-use asset reflects that the Company will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. Generally, the Company uses its incremental borrowing rate as the discount rate.
The Company determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased. Lease payments included in the measurement of the lease liability comprise the following:
– fixed payments, including in-substance fixed payments;
– variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
– amounts expected to be payable under a residual value guarantee; and
– the exercise price under a purchase option that the Company is reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee, if the Company changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment. When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero. The Company presents right-of-use assets that do not meet the definition of investment property in 'property, plant and equipment' and lease liabilities in 'loans and borrowings' in the statement of financial position.

Type of asset	**Useful lives**
・Leasehold building	5 - 10 years
・Storage tanks	5 years
・Motor vehicles	5 years

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4.21 Leases (cont'd)

Short-term leases

The Company has elected not to recognise right-of-use assets and lease liabilities for short-term leases. The Company recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

B. As a lessor

The Company leases out trucks to its transporters and these are classified as finance leases.
When the Company acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.
To classify each lease, the Company makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease.
As part of this assessment, the Company considers certain indicators such as whether the lease is for the major part of the economic life of the asset. When the Company is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset.
If a head lease is a short-term lease to which the Company applies the exemption described above, then it classifies the sub-lease as an operating lease. If an arrangement contains lease and non-lease components, then the Company applies IFRS 15 to allocate the consideration in the contract.
The Company applies the derecognition and impairment requirements in IFRS 9 to the net investment in the lease and regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease. The Company recognises lease payments received under operating leases as income on a straightline basis over the lease term as part of 'other income'.

5 Seasonality and Segment Reporting

Seasonality of Operations

The Company's operations are such that revenue and cost are not affected by the impact of seasonality.

Segment Reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.
The Board has given the Company's Chief Executive Officer (CEO) the power to assess the financial performance and position of the Company, allocate resources and make strategic decisions. Segment reports that are reported to the CEO includes items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

Products and services from which reportable segments derive their revenues

Information reported to the Company's CEO for the purposes of resource allocation and assessment of segment performance is focused on the sales channels for the company's products (white products, lubricants and others). The principal sales channels are Network, General Trade and Aviation. The Company's reportable segments under IFRS 8 are therefore as follows: Network, General Trade and Aviation.

The following summary describes the operations of each reportable segment.

Reportable Segment	Operations
Network	Sales to service stations
General Trade	Sales to corporate customers excluding customers in the aviation industry
Aviation	Sales to customers in the aviation industry

Segment revenue reported below represents revenue generated from external customers. There were no inter-segment sales in the current period (2025: nil). Performance is measured based on segment which correspond with IFRS amounts in the Financial Statement.

5.1 Segment profit or loss (key items)

31 March 2026		NETWORK		GENERAL TRADE		AVIATION		TOTAL
		₦'000		₦'000		₦'000		₦'000
Revenue	60%	106,477,327	34%	69,013,083	6%	21,689,826	100%	197,180,236
- Petroleum products	53%	69,103,875	30%	38,817,311	17%	21,689,826	100%	129,611,012
- Lubricant and others	55%	37,373,452	45%	30,195,772	0%	-	100%	67,569,224
Gross profit	58%	15,632,524	40%	10,781,051	2%	539,053	100%	26,952,628
- Petroleum products	63%	4,331,707	29%	2,036,893	8%	539,053	100%	6,907,653
- Lubricant and others	56%	11,300,817	44%	8,744,159	0%	-	100%	20,044,976
Finance income	69%	382,920	27%	88,366	4%	19,637	100%	490,923
Finance costs	69%	(3,718,890)	27%	(858,207)	4%	(190,711)	100%	(4,767,808)
Income taxation	73%	(542,072)	23%	(170,790)	4%	(29,703)	100%	(742,565)
Impairment (loss)/write back on trade receivable	115%	(8,130)	-24%	7,891	8%	(23,673)	100%	(23,912)
Depreciation	88%	(2,675,900)	6%	(279,707)	6%	(85,188)	100%	(3,040,795)
Amortisation	37%	(5,260)	63%	(8,957)	0%	-	100%	(14,217)
Depreciation of Right-of-use asset	88%	(654,915)	12%	(89,307)	0%	-	100%	(744,222)

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NOTES TO THE FINANCIAL STATEMENTS

5.1 Segment profit or loss (key items) (cont'd)

31 March 2025

		NETWORK		GENERAL TRADE		AVIATION		TOTAL
		₦'000		₦'000		₦'000		₦'000
Revenue	61%	119,675,452	31%	77,567,422	8%	24,378,333	100%	221,621,207
- Petroleum products	54%	83,801,996	30%	47,359,594	16%	24,378,333	100%	155,539,923
- Lubricant and others	54%	35,873,456	46%	30,207,828	0%	-	100%	66,081,284
Gross profit	57%	13,969,741	39%	9,558,244	4%	980,333	100%	24,508,318
- Petroleum products	56%	3,786,039	29%	1,975,373	15%	980,333	100%	6,741,745
- Lubricant and others	57%	10,183,702	43%	7,582,872	0%	-	100%	17,766,574
Finance income	81%	769,844	15%	177,656	4%	39,479	100%	986,979
Finance costs	81%	(5,326,852)	15%	(1,229,275)	4%	(273,171)	100%	(6,829,298)
Income taxation	-437%	585,021	539%	(721,570)	-2%	2,677	100%	(133,872)
Impairment writeback on trade receivable	55%	(5,812)	-189%	5,641	234%	(16,924)	100%	(17,095)
Depreciation	92%	(1,612,848)	8%	(140,248)	0%	-	100%	(1,753,096)
Amortisation	54%	(7,816)	46%	(6,658)	0%	-	100%	(14,474)
Depreciation of Right-of-use asset	92%	(456,888)	8%	(39,729)	0%	-	100%	(496,617)

5.2 Segment assets and liabilities

31 March 2026

		NETWORK		GENERAL TRADE		AVIATION		TOTAL
		₦'000		₦'000		₦'000		₦'000
Non-current assets	72%	56,573,918	21%	16,525,542	7%	5,138,605	100%	78,238,065
Current tax assets	55%	801,056	40%	587,746	5%	70,620	100%	1,459,422
Inventories	55%	53,622,031	40%	39,343,255	5%	4,727,228	100%	97,692,514
Receivables and prepayments	55%	71,394,083	40%	52,382,864	5%	6,293,982	100%	130,070,929
Cash and cash equivalents[1]	60%	29,131,081	34%	16,507,613	6%	2,913,108	100%	48,551,802
ASSETS		**211,522,169**		**125,347,020**		**19,143,543**		**356,012,732**
Reduction to non-current assets	72%	240,002	21%	70,106	7%	21,799	100%	331,907
Payables, deferred income, employee benefits and current tax liabilities[2]	55%	106,851,351	40%	78,398,371	5%	9,419,835	100%	194,669,558
Borrowings[1]	60%	60,005,243	34%	34,002,970	6%	6,000,523	100%	100,008,736
Non-current liabilities (less non-current portion of lease liabilities)	58%	6,182,771	40%	4,263,980	2%	213,200	100%	10,659,951
Lease liabilities	100%	1,963,290	0%	-	0%	-	100%	1,963,290
LIABILITIES		**175,002,655**		**116,665,321**		**15,633,558**		**307,301,535**

31 December 2025

		NETWORK		GENERAL TRADE		AVIATION		TOTAL
		₦'000		₦'000		₦'000		₦'000
Non-current assets	72%	56,292,893	22%	16,750,218	6%	4,863,047	100%	77,906,158
Current tax assets	59%	497,696	37%	316,205	4%	31,255	100%	845,156
Inventories	59%	78,592,078	37%	49,932,503	4%	4,935,612	100%	133,460,192
Receivables and prepayments	59%	77,469,814	37%	49,219,487	4%	4,865,133	100%	131,554,434
Cash and cash equivalents[1]	60%	26,870,666	33%	14,778,866	7%	3,134,911	100%	44,784,443
ASSETS		**239,723,147**		**130,997,279**		**17,829,958**		**388,550,383**
Addition to non-current assets	72%	(783,358)	22%	(233,092)	6%	(67,673)	100%	(1,084,123)
Payables, deferred income, employee benefits and current tax liabilities	59%	144,727,368	37%	91,950,740	4%	9,088,932	100%	245,767,041
Borrowings[1]	60%	50,802,910	33%	27,941,600	7%	5,927,005	100%	84,671,515
Non-current liabilities (less non-current portion of lease liabilities)	58%	5,726,577	39%	3,850,630	3%	296,203	100%	9,873,411
Lease liabilities	100%	698,515	0%	-	0%	-	100%	698,515
LIABILITIES		**201,955,370**		**123,742,970**		**15,312,140**		**341,010,482**

[1] For the purposes of monitoring segment performance and allocating resources between segments, cash and borrowings are allocated to reportable segments on the basis of the revenues earned by individual segments.

[2] Payables, deferred income, employee benefits and current tax liabilities are allocated based on the ratio of business activity of individual segments.

5.3 Geographic information

The Company is domiciled in Nigeria. During the period, no products were sold to any of its affiliates in Congo, Cameroon, Niger and Gabon. However, sales were made to TotalEnergies Lubrifiants and TotalEnergies E&P within Nigeria.

The Company does not hold non-current assets in these foreign countries.

6 Revenue

Revenue generated from the Company's revenue streams are as follows;

	31 March 2026	31 March 2025
	₦'000	₦'000
White products[1]	129,611,012	155,539,923
Lubricants and others[2]	67,569,224	66,081,284
	197,180,236	221,621,207

The above revenue streams are recognised at a point in time. Nigeria is the primary geographical segment of the Company and all of the Company's sales are made in Nigeria.

[1] White products revenue relates to the sale of Premium Motor Spirit (PMS), Automotive Gasoline Oil (AGO) and Aviation Turbine Kerosene (ATK).

[2] Others relates to the sales of solar products and special fluids.

7 Cost of sales

	31 March 2026	31 March 2025
	₦'000	₦'000
Net changes in inventory of lubes, greases and refined products[1]	166,958,014	193,080,042
Custom duties	1,399,548	2,346,855
Transport of supplies	1,870,046	1,685,992
	170,227,608	197,112,889

[1] Net changes in inventory of lubes, greases and refined products relate to product-related purchases, utilization and provisions during the period.

8 Other income and expenses

	31 March 2026	31 March 2025
	₦'000	₦'000
8.1 Other income		
Network income[1]	1,788,438	1,902,795
Gain on disposal of property, plant and equipment (note 16.2)	696	-
Net foreign exchange gain (note 8.2)	172,981	490,416
	1,962,115	2,393,211

[1] Network income represents income from Bonjour shop, rent, vendor management fees, solar lamps and other miscellaneous income.

8.1.2 Other expenses

Loss on disposal of property, plant and equipment	-	(6,586)
	-	(6,586)

8.2 Net foreign exchange gain

	31 March 2026	31 March 2025
	₦'000	₦'000
Foreign exchange impact on trade and other receivables (Note 19.1(a))	(187,619)	(86,133)
Foreign exchange impact on trade and other payables (Note 24(a))	2,656,690	(14,385,190)
Foreign exchange impact on cash held	(2,296,090)	14,961,740
	172,981	490,417

9 Net finance costs

	31 March 2026	31 March 2025
Finance income:	₦'000	₦'000
Interest income		
Interest on loans[1]	66,228	86,503
Interest on deposits	357,708	871,609
Total interest income arising from financial assets measured at amortized cost	423,936	958,112
Interest on deposits for unclaimed dividend	66,987	28,867
Total finance income	490,923	986,979
Finance costs:		
Interest on lease liabilities	(188,926)	(46,895)
Interest on bank overdrafts	(4,578,882)	(6,782,403)
Total finance costs	(4,767,808)	(6,829,298)
Net finance costs	(4,276,885)	(5,842,319)

[1] Amount relates primarily to interest on staff loan

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10 Expenses by nature

10.1 Selling & distribution

	31 March 2026 ₦'000	31 March 2025 ₦'000
Transport on sales	2,246,299	2,204,114
	2,246,299	2,204,114

10.2 Administrative expenses

	31 March 2026 ₦'000	31 March 2025 ₦'000
Staff costs (Note 10.2.3)	6,167,001	6,489,276
Depreciation (Note 16)	3,040,795	1,753,096
Depreciation - Right-of-use asset (Note 17 (i))	744,222	496,617
Amortisation of software (Note 15)	14,217	14,474
Rent[1]	306,373	104,597
Technical assistance and management fees (Note 34.2)	2,875,491	2,658,604
Maintenance expenses	587,161	797,332
Motor fuels and travelling expenses	1,020,645	813,275
Communication, computer and stationery expenses	253,388	119,230
Directors' remuneration (Note 34.3)	467,784	432,590
Bank charges	52,474	117,011
Business promotion and publicity	34,430	241,172
Other expenses[2]	80,099	247,536
Security and guarding	115,097	56,202
Bad debts written off	35,819	-
Fees paid to professional consultants (Note 10.2.2)	3,151,395	2,208,081
Purchase of consumables	101,950	88,386
Insurance	574,932	534,201
Service charge	85,291	56,166
Levies	531,616	192,202
Entertainment expenses	33,155	74,095
Engineering studies	152,745	191,134
Auditor's Remuneration (Note 10.2.1)	27,706	24,187
	20,453,786	17,709,464

[1] Relates to rent on short-term leases to which practical expedient under IFRS 16 applies.

[2] Relates to cost of other administrative activities.

10.2.1 Auditor's remuneration

The analysis of auditors' remuneration is as follows:

	31 March 2026 ₦'000	31 March 2025 ₦'000
Statutory audit fees	27,706	24,187
Total fees	27,706	24,187

10.2.2 Fees paid to professional consultants

	31 March 2026 ₦'000	31 March 2025 ₦'000
Tax services	83,870	44,139
Information technology services	1,751,597	1,740,176
Litigation services	1,054,264	4,570
Recruitment and remuneration services	39	-
Air Total International subrogation fees	53,913	103,713
Product supply fees and certifications	131,920	215,335
Other services[1]	75,792	100,148
	3,151,395	2,208,081

[1] Other services relate majorly to financial services fees and professional fees incurred for the procurement of licences.

10.2.3 Staff costs

The related staff cost amounted to ₦6.17 billion (2025: ₦6.49 billion).

	31 March 2026 ₦'000	31 March 2025 ₦'000
Short term employee benefits		
- Salaries and wages	4,718,509	4,816,548
- Staff welfare and training	525,675	324,218
- Other staff expenses	292,560	622,639
Other long term employee benefits		
- Pension and social benefit	312,813	247,280
Post employment benefits		
- Defined benefit plan (Note 12i)	306,757	477,200
Termination benefits	10,687	1,391
	6,167,001	6,489,276

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NOTES TO THE FINANCIAL STATEMENTS

11 Company Income Tax

Income tax expense

The tax charge for the period has been computed after adjusting for certain items of expenditure and income, which are not deductible or chargeable for tax purposes and comprises:

Minimum Tax

The Company has considered the provisions of the Nigeria Tax Act 2025 (section 57 (1a) which provides that where, in any year of assessment, the effective tax rate, that is, covered taxes as a percentage of net income (adjusted net profit), of a company is less than 15%, such company shall recompute and pay an additional (top up) tax that makes its effective tax rate equal 15%. But, where a tax payer's covered taxes as a percentage of adjusted net profit is higher than the statutory minimum of 15%, the computed tax (CIT + Develeopment Levy) becomes payable. The Company's assessment based on the minimum effective tax legislation for the period ended 31 March 2026 is nil (31 March 2025: ₦1.11 billion). Minimum tax relating to prior period (₦1.11 billion) was computed in accordance to Company Income Tax Act (CITA) at 0.5% of gross turnover.

The Directors believe that the tax liabilities recognised represents best estimate based on their interpretation of the tax law.

11.1.1 Amounts recognised in profit or loss

	31 March 2026	31 March 2025
	₦'000	**₦'000**
Current tax expenses:		
Development Levy	257,759	-
Minimum Tax	-	1,108,106
Tertiary Education Tax (TET)	-	108,964
Nigeria Police Trust Fund Levy (NPTF)	-	56
National Agency for Science and Engineering Infrastructure (NASENI) Levy	-	2,805
Current period tax expense	257,759	1,219,931
Deferred tax		
Origination and reversal of temporary differences (Note 11.3)	484,806	22,047
	742,565	**1,241,978**

11.1.2 Reconciliation of effective tax rate

	31 March 2026	31 March 2025
	₦'000	**₦'000**
Profit before tax	**1,913,861**	**1,121,951**
Income tax using the statutory tax rate - 30%	574,158	336,585
Effect of:		
Devt Levy (4%) (NTA 2025)	76,554	-
Tertiary education tax rate - 3%	-	33,659
Nigeria Police Trust Fund Levy (NPTF)	-	56
Non-deductible expenses	332,562	240,725
Non-taxable income	(7,883)	(2,448)
National Agency for Science and Engineering Infrastructure (NASENI) Levy	-	2,805
Other differences (expenses and income giving rise to permanent difference)	(354,999)	630,597
Difference in CIT and TET rates	122,173	-
	742,565	**1,241,978**
Effective tax rates	39%	111%

11.1.3 Minimum tax payable by the company

	31 March 2026	31 March 2025
	₦'000	**₦'000**
Turnover (Note 6)	197,180,236	221,621,207
Minimum tax @ 0.5% (2025: ₦1.11 billion)	**-**	**1,108,106**

11.2 Movement in current tax liability

	31 March 2026	31 December 2025
	₦'000	**₦'000**
Balance as at 1 January	3,695,036	14,173,566
Provision for the period (Note 11.1.1)	257,759	4,273,926
Payments during the period	-	(13,712,848)
Withholding tax credit notes utilized	-	(1,039,609)
Balance as at 31 March	**3,952,795**	**3,695,036**

11.2.1 Movement in Withholding tax

	31 March 2026	31 December 2025
	₦'000	₦'000
Balance as at 1 January	845,156	897,239
WHT credit notes received during the period	614,266	987,525
Withholding Tax used to offset CIT	-	(1,039,609)
Balance as at 31 March	**1,459,422**	**845,156**
Analysed as		
Current	1,459,422	845,156
	1,459,422	**845,156**
Amount recognised in statement of cashflows	**(614,266)**	**52,083**

11.3 Deferred taxation

Deferred tax assets and liabilities are attributable to the following;

	Assets		Liabilities		Net	
	31 March 2026	31 December 2025	31 March 2026	31 December 2025	31 March 2026	31 December 2025
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Property, plant and equipment	-	-	(8,954,504)	(8,205,062)	(8,954,504)	(8,205,062)
Provision for doubtful debts	411,634	391,636	-	-	411,634	391,636
Provision for employee benefits	2,073,304	1,842,716	-	-	2,073,304	1,842,716
Lease liability	-	-	62,567	33,980	62,567	33,980
Net unrealised foreign exchange differences	-	-	(494,259)	(479,722)	(494,259)	(479,722)
	2,484,938	**1,288,258**	**(9,386,196)**	**(9,759,997)**	**(6,901,258)**	**(6,416,452)**

Movement in deferred tax balances during the period;

	Balance 1 January 2025	Recognised in profit or loss	Recognised in OCI	Balance 31 December 2025	Recognised in profit or loss	Balance 31 March 2026
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Property, plant and equipment	(11,004,474)	2,799,412	-	(8,205,062)	(749,442)	(8,954,504)
Provision for doubtful debts	328,932	62,704	-	391,636	19,998	411,634
Provision for employee benefits	959,326	909,971	(26,581)	1,842,716	230,588	2,073,304
Lease liability	63,225	(29,245)	-	33,980	28,587	62,567
Net unrealised foreign exchange differences	1,181,252	(1,660,974)	-	(479,722)	(14,537)	(494,259)
	(8,471,739)	**2,081,868**	**(26,581)**	**(6,416,452)**	**(484,806)**	**(6,901,258)**

11.4 The charge for income tax, Development Levy and Minimum effective tax in these financial statements is based on the provisions of the Nigeria Tax Act 2025.

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12 Employee benefits

Long term employee benefits	31 March 2026	31 December 2025
	₦'000	₦'000
Long service awards (Note 12(i))	3,454,167	3,200,433
Home ownership scheme (Note 12(i))	86,682	68,682
	3,540,849	3,269,115
Post employment benefit		
Post employment medical services (Note 12(i))	217,844	187,844
Balance as at 31 March	**3,758,693**	**3,456,959**
Analysed as:		
Current	-	-
Non-current	3,758,693	3,456,959
	3,758,693	**3,456,959**

Employee benefits represents the Company's liability for:

a) Long service awards - Staff who have attained the milestones for the specified number of years of service in the Company (i.e. 10, 15, 20, 25, 30, 35, 40 years) are rewarded with cash and gift items as long service awards.

b) Home ownership scheme - Under the home ownership scheme, qualifying staff are entitled to a grant which is a one-off payment upon tenth anniversary.

c) Post employment medical benefits - A post-retirement medical coverage is extended to ex-staff for seven (7) years on early retirement or ten (10) years on normal retirement (i.e. at the retirement age of 60 years) as well as three (3) years for dependent relatives of a deceased staff. The liability duration of this scheme is estimated at 7.58 years.

i. **Movement in net defined benefit liability**

The following table shows a reconciliation from the opening balances to the closing balances for the net defined benefit liability and its components.

2026	**Long service awards**	**Home ownership scheme**	**Post employment medical service**	**Total**
	₦'000	₦'000	₦'000	₦'000
Balance as at 1 January	3,200,433	68,682	187,844	3,456,959
Included in profit or loss				
Current service costs	95,537	7,248	7,268	110,053
Past service cost due to plan amendment	3,952	-	2,311	6,263
Interest cost	162,244	5,949	20,421	188,614
Actuarial (Gains)/Losses - Assumption	(2,975)	4,803	-	1,828
Included in other comprehensive income	258,757	18,000	30,000	306,757
Remeasurement loss:				
- Experience adjustment	-	-	-	-
	-	-	-	-
Other				
Benefits paid	(5,023)	-	-	(5,023)
	(5,023)	-	-	(5,023)
Balance as at 31 March	**3,454,167**	**86,682**	**217,844**	**3,758,693**

2025	**Long service awards**	**Home ownership scheme**	**Post employment medical service**	**Total**
	₦'000	₦'000	₦'000	₦'000
Balance as at 1 January	2,690,331	50,419	98,078	2,838,828
Included in profit or loss				
Current service costs	265,845	10,089	5,819	281,753
Past service cost due to plan amendment	10,997	-	1,850	12,847
Interest cost	451,468	8,281	16,350	476,100
Actuarial (Gains)/Losses - Assumption	(8,279)	6,686	-	(1,594)
Actuarial losses - Experience	-	-	-	-
Included in other comprehensive income	720,031	25,056	24,019	769,107
Remeasurement loss:				
- Experience adjustment	-	-	80,550	80,550
	-	-	80,550	80,550
Other				
Benefits paid	(209,929)	(6,793)	(14,803)	(231,525)
	(209,929)	(6,793)	(14,803)	(231,525)
Balance as at 31 December	**3,200,433**	**68,682**	**187,844**	**3,456,959**

12 Employee benefits (cont'd)

(a) Allocation of employee benefits provisions during the period

Amount recognised in profit or loss (Note 10.2.3)	306,757	477,200
	306,757	**477,200**

Actuarial Assumptions

The following were the principal actuarial assumptions at the reporting date (expressed as weighted averages).

	2026	2025
Discount rate		
- Long service awards	15.5%	17.5%
- Home ownership scheme	17.0%	17.5%
- Post employment medical services	15.5%	17.5%
Future salary growth	15.0%	15.0%
Benefit increase rate		
- Long service awards	20.0%	20.0%
- Home ownership scheme	7.5%	7.5%
- Post employment medical services	7.5%	7.5%

The Company is exposed to several risks arising from the defined benefits plan. The most significant of which are inflation risk, changes in bond yields and life expectancy.

The assumptions below further depict management's estimate of the likely future experience of the Company.

Demographic assumptions

Withdrawal Rates	2026	2025
Age band		
Less than or equal to 29	2%	2%
31 – 39	1%	1%
40 – 49	0%	0%
50 – 59	0%	0%

Mortality assumptions

Active Staff	A67/70 UK Tables
Retirees	PA90

ii. **Sensitivity analysis**

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions,holding other assumptions constant, would have affected the defined benefit obligation by the amounts shown below.

2026

	Long service awards		Home ownership scheme		Post employment medical benefits	
		₦'000		₦'000		₦'000
Base		3,454,167		86,682		217,844
Discount rate	+1%	3,172,872	+1%	85,132	+1%	206,097
	-1%	3,778,885	-1%	88,310	-1%	230,777
Salary increase rate	+1%	3,494,968	+1%	-	+1%	-
	-1%	3,416,878	-1%	-	-1%	-
Benefit increase rate	+1%	3,739,690	+1%	-	+1%	224,997
	-1%	3,203,115	-1%	-	-1%	211,041
Mortality	Age Rated up by 1 year	3,434,001	Age Rated up by 1 year	86,645	Age Rated up by 1 year	219,396
	Age Rated down by 1 year	3,472,427	Age Rated down by 1 year	86,714	Age Rated down by 1 year	216,449

2025

	Long service awards		Home ownership scheme		Post employment medical benefits	
		₦'000		₦'000		₦'000
Base		3,200,433		68,682		187,844
Discount rate	+1%	2,939,801	+1%	67,454	+1%	177,715
	-1%	3,501,297	-1%	69,972	-1%	198,996
Salary increase rate	+1%	3,238,236	+1%	-	+1%	-
	-1%	3,165,883	-1%	-	-1%	-
Benefit increase rate	+1%	3,464,982	+1%	-	+1%	194,012
	-1%	2,967,822	-1%	-	-1%	181,978
Mortality	Age Rated up by 1 year	3,181,748	Age Rated up by 1 year	68,653	Age Rated up by 1 year	189,182
	Age Rated down by 1 year	3,217,351	Age Rated down by 1 year	68,707	Age Rated down by 1 year	186,641

Although the analysis does not take account of the full distribution of cash flows expected under the schemes, it does provide an approximation of the sensitivity of the assumptions shown.

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NOTES TO THE FINANCIAL STATEMENTS

13 Dividends

Declared dividends

The following dividends were declared by the Company during the period.

	31 March 2026	31 December 2025
	₦'000	₦'000
Final dividend - Prior year		
₦0.00 per qualifying ordinary share (2025: ₦40.00)	-	13,580,873
	-	**13,580,873**

13.1 Dividend payable

	31 March 2026	31 December 2025
	₦'000	₦'000
Balance as at 1 January	2,605,754	2,418,314
Final dividend (prior year)	-	13,580,873
	2,605,754	15,999,187
Dividend paid	(5,153)	(13,393,433)
Balance as at 31 March	**2,600,601**	**2,605,754**

(a) By the provision of Section 429 of the Companies and Allied Matters Act (CAMA), 2020, where dividends paid by a company remain unclaimed, the company shall publish in two national newspapers, a list of the unclaimed dividends and the names of the persons entitled to the dividends, and attach the list, as published in the national newspapers, to the notice that is sent to the members of the company for each subsequent annual general meeting of the company.

After the expiration of three months of the publication and notice, the company may invest the unclaimed dividend for its own benefit in investments outside the company and no interest shall accrue on the dividends against the company.

However, Section 60 (3) of the Finance Act 2020 provides that dividends of a public limited liability company quoted on the Nigerian Stock Exchange which has remained unclaimed for a period of six years or more from the date of declaring the dividend shall be immediately transferred to the Unclaimed Funds Trust Fund.

14 Earnings/(loss) per share (EPS)

Basic earnings/(loss) per share

Basic earnings/(loss) per share of ₦3.45 (2025: (₦0.35)) is based on profit/(loss) attributable to ordinary shareholders of ₦1.17 billion (2025: (₦120.03) million), and on the 339,521,837 ordinary shares of 50 kobo each, being the weighted average number of ordinary shares in issue during the period (2025: 339,521,837 ordinary shares).

The Company has no dilutive potential ordinary shares and as such, diluted and basic earnings/(loss) per share are the same.

	31 March 2026	31 March 2025
Earnings		
Profit/(loss) for the period attributable to shareholders (expressed in Naira)	1,171,296,173	(120,026,913)
Number of shares		
Weighted average ordinary shares of 50 kobo each	339,521,837	339,521,837
Basic profit/(loss) per 50 kobo share (expressed in Naira)	3.45	(0.35)

The denominators for the purposes of calculating basic earnings/(loss) per share are based on issued and paid ordinary shares of 50 kobo each as at 31 March 2026.

15 Intangible assets

The movement on these accounts were as follows:

	Computer software and software licensing
Cost	**₦'000**
Balance as at 1 January 2025	836,694
Additions	-
Balance as at 31 December 2025	836,694
Balance as at 1 January 2026	836,694
Additions	-
Balance as at 31 March 2026	836,694
Amortisation[1]	
Balance as at 1 January 2025	703,805
Charge for the year	58,463
Balance as at 31 December 2025	762,268
Balance as at 1 January 2026	762,268
Charge for the period	14,217
Balance as at 31 March 2026	776,485
Carrying amount	
At 1 January 2025	**132,889**
At 31 December 2025	**74,426**
At 31 March 2026	**60,209**

[1] *Amortisation of intangible assets is included in administrative expenses in Profit or Loss. (See note 10.2)*

There are no items of intangible assets restricted or pledged as security. There are also no contractual commitments to purchase any items of intangible assets as at period end.

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NOTES TO THE FINANCIAL STATEMENTS

16 Property, plant and equipment

The movement on these accounts were as follows:

	Land	Buildings	Plant, machinery and fittings	Office equipment and furniture	Computer equipment and other tangibles	Motor vehicles	Capital work in progress	Total
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Cost								
Balance as at 1 January 2025	4,863,857	27,333,163	42,055,649	4,591,374	21,935,422	16,003,052	1,557,149	118,339,664
Additions	531,473	1,029,468	2,080,668	3,055	4,475,668	-	2,756,007	10,876,339
Disposals	(531,472)	(472,835)	(145,584)	(8,141)	(79,693)	(106,261)	-	(1,343,986)
Reclassification	610	(73,294)	(994,175)	(3,748,437)	5,953,927	(1,358,509)	219,878	-
Balance as at 31 December 2025	4,864,468	27,816,502	42,996,558	837,851	32,285,324	14,538,282	4,533,034	127,872,017
Balance as at 1 January 2026	4,864,468	27,816,502	42,996,558	837,851	32,285,324	14,538,282	4,533,034	127,872,017
Additions	-	19,031	56,847	-	856,729	-	480,939	1,413,546
Transfers (Note 16.1)	-	487,440	732,234	4,187	251,099	-	(1,474,960)	-
Disposals	-	-	-	-	-	(23,184)	-	(23,184)
Balance as at 31 March 2026	4,864,468	28,322,973	43,785,639	842,038	33,393,152	14,515,098	3,539,013	129,262,379
Accumulated depreciation and impairment								
Balance as at 1 January 2025	686,406	10,368,739	19,770,985	604,647	19,861,010	5,319,395	-	56,611,182
Charge for the year	-	1,269,967	2,925,952	65,569	3,367,849	2,249,967	-	9,879,304
Eliminated on disposals	-	(343,584)	(144,742)	(8,140)	(69,314)	(106,261)	-	(672,041)
Reclassification	-	15,158	-	-	-	-	-	15,158
Balance as at 31 December 2025	686,406	11,310,280	22,552,195	662,076	23,159,545	7,463,101	-	65,833,603
Balance as at 1 January 2026	686,406	11,310,280	22,552,195	662,076	23,159,545	7,463,101	-	65,833,603
Charge for the period	-	336,562	819,336	19,486	1,213,590	651,821	-	3,040,795
Eliminated on disposal	-	-	-	-	-	(23,184)	-	(23,184)
Balance as at 31 March 2026	686,406	11,646,842	23,371,531	681,562	24,373,135	8,091,738	-	68,851,214
Carrying amount								
At 1 January 2025	4,177,451	16,964,424	22,284,663	3,986,727	2,074,412	10,683,657	1,557,149	61,728,482
At 31 December 2025	4,178,062	16,506,222	20,444,362	175,775	9,125,779	7,075,181	4,533,034	62,038,413
At 31 March 2026	**4,178,062**	**16,676,131**	**20,414,107**	**160,476**	**9,020,017**	**6,423,360**	**3,539,013**	**60,411,165**

No item of property, plant and equipment has been restricted or pledged as security.

16.1 Transfers represent additions to other categories of PPE as well as from prior year's work-in-progress as they become completed.
Capital work in progress (CWIP) items include construction and other tangible assets awaiting completion. Included in transfers out of CWIP are tangible items for which constructions were finalised.

There were no impairment losses on any class of property plant and equipment during the period.
None of the company's assets were financed from borrowings. Hence, no borrowing cost has been capitalised as part of asset cost.
There were no pledged assets in any class of property, plant and equipment during the period.

16.2 Gain on disposal of property, plant and equipment

	31 March 2026	31 March 2025
	₦'000	₦'000
Cost of disposed tangible asset	(23,184)	(7,418)
Accumulated depreciation of disposed tangible asset	23,184	832
Carrying amount of tangible assets disposed	-	(6,586)
Disposal proceeds	696	-
Gain on disposal	**696**	**(6,586)**

NOTES TO THE FINANCIAL STATEMENTS

17 Company as a lessee (IFRS 16)

The Company leases service stations, storage facilities and staff buses. Service station leases typically run for a period of 10 years, with an option to renew the lease after that date. Option to renew is not legally enforceable as it is not unilateral and requires the consent of both parties. See note 17 (iv). Storage facilities leases run for 5 years. Staff bus leases typically run for 5 years which is the useful life of the asset.

Service station leases entered into are usually combined leases of land and buildings. The Company leases residential spaces with contract terms of one year. These leases are short term. See note 10.2 (Rent). The renewal option of these residential spaces is mostly at the sole instance of the Company. The renewal of these spaces is based on them fulfilling the business needs of the Company per time. The Company has elected not to recognise right-of-use assets and lease liabilities for these leases. Lease payments on these short-term leases are recognised as expense on a straight-line basis over the lease term. Information about leases for which the Company is a lessee is presented below:

i. Right-of-use assets

Right-of-use assets related to leased properties that do not meet the definition of investment property are presented as a separate line item on the statement of financial position.

	Leasehold buildings	Motor vehicles	Storage facilities	Total
	₦'000	₦'000	₦'000	₦'000
Cost				
Balance as at 1 January 2025	17,684,737	2,531,919	756,609	20,973,265
Additions	1,717,434	537,795	1,252,500	3,507,729
Balance as at 31 December 2025	19,402,171	3,069,714	2,009,109	24,480,994
At 1 January 2026	19,402,171	3,069,714	2,009,109	24,480,994
Additions	2,513,048	1,307,335	-	3,820,383
Balance as at 31 March 2026	21,915,219	4,377,049	2,009,109	28,301,377
Accumulated depreciation and impairment				
Balance as at 1 January 2025	9,364,014	1,890,088	756,176	12,010,278
Charge for the year	2,120,798	403,685	189,078	2,713,561
Reclassification	(15,158)	-	-	(15,158)
Balance as at 31 December 2025	11,469,654	2,293,773	945,254	14,708,681
At 1 January 2026	11,469,654	2,293,773	945,254	14,708,681
Charge for the period	470,222	212,233	61,767	744,222
Balance as at 31 March 2026	11,939,876	2,506,006	1,007,021	15,452,903
Carrying amount				
At 1 January 2025	8,320,723	641,831	433	8,962,987
At 31 December 2025	7,932,517	775,941	1,063,855	9,772,313
At 31 March 2026	**9,975,343**	**1,871,043**	**1,002,088**	**12,848,474**

ii. Amounts recognised in profit or loss

	2026	2025
	₦'000	₦'000
Depreciation	744,222	2,713,561

iii. Amounts recognised in statement of cash flows

	2026	2025
	₦'000	₦'000
Additions to right-of-use assets	(3,820,383)	(3,507,729)

iv. Extension options

The Company's service station lease agreements contain extension options exercisable by the Company. Where practicable, the Company seeks to include extension options in its leases to provide operational flexibility. The extension options held are exercisable only by the Company but require the consent of the lessors. The Company assesses at lease commencement date whether it is reasonably certain to exercise the extension options because the Company usually prepays its station leases for about 7 -10 years and due to the fact that the decision to renew is usually based on the results of an economic evaluation of each individual service station's performance to determine if it is finanically viable to extend the lease. The directors have concluded that it is not reasonably certain at commencement of the leases to determine whether or not the leases will be renewed.

The Company has estimated that there are no potential future lease payments as its current assessment is that it is not probable that the lease extention option would be exercised.

The Company has assessed that obligations arising from termination of leases remain insignificant. While decommissioning obligations exist for underground storage tanks at certain locations, these are expected to be minimal and associated decommissioning costs are assessed to be immaterial. Additionally, movable assets are reassigned to other locations at minimal transport cost.

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NOTES TO THE FINANCIAL STATEMENTS

18 Inventories

Inventories comprise:

	31 March 2026 ₦'000	31 December 2025 ₦'000
Raw materials[1]	28,331,987	40,193,266
Goods in transit	9,809,332	19,471,096
Finished goods[2]	58,527,977	72,858,275
Consumable equipment and spares	1,023,218	937,555
	97,692,514	**133,460,192**

[1] Raw materials relate to packaging materials, additives and baseoils.

[2] Finished goods relate to lubricants, all white products, special fluids, car care products.

In 2026, inventories amounting ₦166.96 billion (2025: ₦193.08 billion) were recognised as an expense during the period and included in 'cost of sales'.

No item of inventory was pledged as securities for liabilities during the period.

(a) Reconciliation of changes in inventory to statement of cashflows is as follows:

	31 March 2026 ₦'000	31 March 2025 ₦'000
Balance at 1 January	133,460,192	152,023,837
Balance at 31 March	(97,692,514)	(114,960,741)
Write down of inventory (See note 18.1)	(1,492,232)	-
Amount recognised in statement of cashflows	**34,275,446**	**37,063,096**

18.1 Movement in write down of inventories

	31 March 2026 ₦'000	31 December 2025 ₦'000
Write down of inventory[1]	1,492,232	649,511
Reversal of write downs from previous years[2]	-	(4,528)
	1,492,232	**644,983**

[1] During the period, amounts of ₦1.49 billion were written down and recognised in cost of sales (2025: ₦649.51 million), due to operational losses.

[2] Reversal of provision made on slow moving goods no longer required.

19 Trade and other receivables (Current)

	31 March 2026 ₦'000	31 December 2025 ₦'000
Customers account	87,075,522	84,442,244
Due from related parties (Note 34.2)	351,531	723,589
Total trade receivables **[1]**	**87,427,053**	**85,165,833**
Financial assets		
Net investment in finance lease (Note 19.1.1)	328,165	357,234
Bridging claims[2]	19,113,617	19,113,617
Unclaimed dividends[3]	2,600,601	2,605,754
Employee loans and receivables	910,938	2,269,184
Other receivables[4]	7,391,919	5,033,515
	30,345,240	**29,379,304**
Advance to supplier[5]	7,824,142	15,029,910
Total other receivables	**38,169,382**	**44,409,214**
	125,596,435	**129,575,047**

[1] Amount presented above is net of impairment, refer to note 30(iv) for more information on impairment.

[2] See note 30(iv) for more information on bridging claims.

[3] This relates to portion of unclaimed dividend currently held by the Company Registrars.

[4] Other receivables include employee salary advances, electronic settlement banking balances and other miscellaneous debtor balances.

[5] This relates to advance payments made to suppliers.

19.1 Trade and other receivables (Non-current)

Non-current portion of trade and other receivables comprise:	31 March 2026 ₦'000	31 December 2025 ₦'000
Employee receivables[1]	3,353,428	4,242,432
Net investment in finance lease (Note 19.1.1)[2]	1,521,036	1,655,767
Advance for PPE[3]	43,753	122,806
	4,918,217	**6,021,005**

[1] Amount represents loan receivables due from employees which are not considered due within twelve (12) months.

[2] Amount represents the sum of net investment in finance lease between one and five years and more than five years. (See note 19.1.1)

[3] Amount represents advance to suppliers relating to procurement of PPE.

(a) Reconciliation of changes in trade and other receivables to statement of cashflows is as follows:

	31 March 2026 ₦'000	31 March 2025 ₦'000
Balance at 1 January (current)	129,575,047	144,135,425
Balance at 31 March (current)	(125,596,435)	(157,673,410)
Net impairment loss on financial assets (Note 30(iv))	(23,912)	(17,095)
Foreign exchange impact on trade and other receivables (See note 8.2)	(187,619)	(86,133)
Amount recognised in statement of cashflows	**3,767,081**	**(13,641,213)**
Balance at 1 January (non-current)	6,021,005	8,165,923
Balance at 31 March (non-current)	(4,918,217)	(6,615,829)
Amount recognised in statement of cashflows	**1,102,788**	**1,550,094**

19.1.1 Finance lease receivable

The Company leases transport equipment to some of its transporters under a finance lease arrangement. The lease term is between three to five years, with options to extend. The finance lease receivables at the end of the reporting year are neither past due nor impaired. The carrying amount of the current portion of finance lease receivables approximates their fair value. Finance lease receivable may be analysed as follows:

	31 March 2026	31 December 2025
	₦'000	₦'000
Gross investment in finance lease	2,029,710	2,209,500
Unearned finance income	(180,509)	(196,499)
Net investment in finance lease	**1,849,201**	**2,013,001**

Net investment in finance lease	31 March 2026	31 December 2025
Current:	₦'000	₦'000
Less than one year (note 19)	328,165	357,234
Non current:		
Between one and five years (note 19.1)	1,099,718	1,197,129
More than five years (note 19.1)	421,318	458,638
	1,849,201	**2,013,001**

19.1.2 Leases as lessor

The Company has lease arrangements with its transporters consisting of leased trucks. These leases are classified as a finance lease.

(i) Finance lease

The following table sets out a maturity analysis of lease receivables, showing the undiscounted lease payments to be received after the reporting date.

	31 March 2026	31 December 2025
	₦'000	₦'000
Less than one year	360,199	392,105
One to two years	1,207,066	1,313,986
More than five years	462,445	503,408
Total undiscounted lease receivable	2,029,710	2,209,500
Unearned finance income	(180,509)	(196,499)
Net investment in the lease	**1,849,201**	**2,013,001**

20 Prepayments

	31 March 2026	31 December 2025
	₦'000	₦'000
Current		
Prepaid rent[1]	5,754	303
Prepaid insurance	1,379,897	-
Employee advances[2]	3,088,843	1,979,084
Total prepayments	**4,474,494**	**1,979,387**

[1] Prepaid rent are short-term leases for which the Company has elected not to recognise as ROU asset.

[2] Amount relates to advances paid to employees.

(a) Reconciliation of changes in prepayments to statement of cashflows is as follows:

	31 March 2026	31 March 2025
	₦'000	₦'000
Balance at 1 January	1,979,387	3,762,951
Balance at 31 March	(4,474,494)	(3,905,957)
Amount recognised in statement of cashflows	**(2,495,107)**	**(143,006)**

	31 March 2026	31 December 2025
21 Loans and other borrowings	₦'000	₦'000
Bank overdrafts (Note 27)	100,008,736	84,671,515
Total borrowings	**100,008,736**	**84,671,515**
22 Lease liabilities		
Non-current portion of lease liabilities	966,657	343,925
Current portion of lease liabilities	996,633	354,590
Total lease liabilities	**1,963,290**	**698,515**

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NOTES TO THE FINANCIAL STATEMENTS

23 Movement of liabilities

Reconciliation of movements of liabilities to cash flows arising from financing activities

	Bank overdrafts	Other loans and borrowings	Lease liabilities	Total
	₦'000	₦'000	₦'000	₦'000
Balance at 1 January 2026	**84,671,515**	**-**	**698,515**	**85,370,030**
Changes from financing cash flows				
Additional borrowings	-	-	-	**-**
Repayment of borrowings	15,337,221	-	-	**15,337,221**
Payment of lease liabilities	-	-	(320,452)	**(320,452)**
Total changes from financing cash flows	**15,337,221**	**-**	**(320,452)**	**15,016,769**
The effect of changes in foreign exchange rates	**-**	**-**	**-**	**-**
Other changes				
New leases	-	-	1,585,227	**1,585,227**
Interest paid	(4,578,882)	-	(188,926)	**(4,767,808)**
Interest expense	4,578,882	-	188,926	**4,767,808**
Total liability-related other changes	**-**	**-**	**1,585,227**	**1,585,227**
Balance at 31 March 2026	**100,008,736**	**-**	**1,963,290**	**101,972,026**

	Bank overdrafts	Other loans and borrowings	Lease liabilities	Total
	₦'000	₦'000	₦'000	₦'000
Balance at 1 January 2025	**115,700,078**	**-**	**793,718**	**116,493,796**
Changes from financing cash flows				
Additional borrowings	-	-	-	**-**
Repayment of borrowings	(31,028,563)	-	-	**(31,028,563)**
Payment of lease liabilities	-	-	(975,095)	**(975,095)**
Total changes from financing cash flows	**(31,028,563)**	**-**	**(975,095)**	**(32,003,658)**
The effect of changes in foreign exchange rates	**-**	**-**	**-**	**-**
Other changes				
New leases	-	-	879,892	**879,892**
Interest paid	(25,130,751)	(6,520)	(482,445)	**(25,619,716)**
Interest expense	25,130,751	6,520	482,445	**25,619,716**
Total liability - related other changes	**-**	**-**	**879,892**	**879,892**
Balance at 31 December 2025	**84,671,515**	**-**	**698,515**	**85,370,030**

The principal features of the Company's borrowings are as follows:

- Bank overdrafts are repayable on demand. The actual average interest rate on bank overdrafts as at 31 March 2026 was approximately 18.5%. This was determined based on banks' cost of funding plus lenders' mark-up. Overdrafts are neither guaranteed nor is any collateral given on the balances.
- Trade finance loan represents short term borrowings obtained to fund letters of credits for product importation. The interest charged on these loans vary depending on the SOFR. The interest rate on these loans are usually between 10% to 32%.
- The Commercial paper instrument is a ₦30 billion programme established by TotalEnergies Marketing Nigeria Plc under which the company may from time to time issue Commercial Paper Notes, as may be agreed between the Arranger and the Issuer, in separate series or tranches. The programme has been renewed but there is currently no issuance.
- The carrying amount of current borrowings is a reasonable approximation of fair value as at 31 March, 2026.

a. Terms and repayment schedule

The terms and conditions of loans and borrowings are as follows;

				31 March 2026		31 December 2025	
	Currency	Nominal interest rate	Year of maturity	Face value	Carrying amount	Face value	Carrying amount
				₦'000	₦'000	₦'000	₦'000
Lease liabilities	NGN	25%	2025 - 2028	2,600,384	1,963,290	925,185	698,515
Bank overdraft	NGN	18.5%	-	100,008,736	100,008,736	84,671,515	84,671,515
				102,609,120	101,972,026	85,596,700	85,370,030

The Company has discounted lease liabilities using incremental borrowing rate of 25% (2025: 25%) which represents the rate of interest that a lessee would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment.

24 Trade and other payables

	31 March 2026	31 December 2025
	₦'000	₦'000
Trade payables :		
Amount due to related companies (note 34.2)	66,941,389	96,336,162
Trade creditors	12,047,174	67,275,479
Bridging contribution[1]	16,894,930	16,894,930
PPPRA administrative charges	647,039	647,039
Payable to Petroleum Support Fund	74,318	74,318
	96,604,850	**181,227,928**
Other payables:		
Other creditors[2]	35,705,771	5,468,340
Security deposits[3]	14,626,247	14,329,170
Accrued liabilities[4]	35,594,837	32,456,589
Dividend payable (note 13.1)	2,600,601	2,605,754
Pay As You Earn (PAYE)	336,191	404,957
Staff pension	66,678	34,828
	88,930,325	**55,299,638**
Total trade and other payables	**185,535,175**	**236,527,566**

[1] *Amount payable to PEF with respect to bridging activities on imported products. See note 30(iv) for more information.*

[2] *Amount relates to other non-trade related payables and sundry creditors.*

[3] *Amount relates to security deposits paid by dealers who maintain credit facilities with the Company.*

[4] *Accrued liabilities principally comprise accrual for product bills and other charges for which invoices were not yet received at the end of the period.*

Trade and other payables principally comprise amounts outstanding for trade purchases and ongoing costs.

The Directors consider that the carrying amount of trade payables as at 31 March 2026 approximates their fair value.

Information about the Company's exposure to currency and liquidity risks is included in note 30(iii).

(a) Reconciliation of changes in trade and other payables to statement of cashflows is as follows:

	31 March 2026	31 March 2025
	₦'000	₦'000
Balance at 1 January	(236,527,566)	(248,002,473)
Balance at 31 March	185,535,175	247,599,648
Movement in dividend payable (See note 13.1)	5,153	(13,580,874)
Foreign exchange impact on trade and other payables (See note 8.2)	2,656,690	(14,385,190)
Amount recognised in statement of cashflows	**(48,330,548)**	**(28,368,889)**

25 Deferred income

	31 March 2026	31 December 2025
	₦'000	₦'000
Contract liabilities[1]	5,181,588	5,544,439
	5,181,588	**5,544,439**

[1] *Contract liabilities represents advance consideration received from customers for the sale of goods, for which revenue is recognised upon delivery.*

(a) Reconciliation of changes in deferred income to statement of cashflows is as follows:

	31 March 2026	31 March 2025
	₦'000	₦'000
Balance at 1 January	(5,544,439)	(6,061,236)
Balance at 31 March	5,181,588	6,414,957
Amount recognised in statement of cashflows	**(362,851)**	**353,721**

25.1 Movement of contract liabilities

Balance at 1 January	5,544,439	6,061,236
Amount recognised as revenue in the period	(12,203,638)	(13,087,701)
Advance payments received from customers	11,840,786	13,441,423
Balance at 31 March	**5,181,588**	**6,414,957**

The deferred income represents amounts billed and collected in accordance with contractual terms in advance of when the goods are delivered or services rendered. These advance payments primarily relate to contract liabilities. Contract liabilities primarily relate to the advance consideration received from customers for the sale of goods, for which revenue is recognised once the goods are delivered and have been accepted in the customers premises or picked up by the customer. The Company estimates this will be earned as revenue during the subsequent financial periods.

26 Share capital

	31 March 2026	31 March 2025
	₦'000	₦'000
Authorised, Issued and fully paid:		
339,521,837 ordinary shares of 50 kobo each	**169,761**	**169,761**

All ordinary shares rank equally with regard to the Company's residual assets. Holders of these shares are entitled to dividends as declared from time to time and are entitled to one vote per share at general meetings of the Company.

27 Cash and cash equivalents

	31 March 2026	31 March 2025
	₦'000	₦'000
Bank and cash balances	17,633,845	25,688,991
Cash on hand	16,702	12,787
Cash balances with TotalEnergies Treasury (note 34.2)	30,901,255	65,776,200
Cash & cash equivalents in statement of financial position	48,551,802	91,477,978
Bank overdrafts (Note 21)	(100,008,736)	(103,150,311)
Cash & cash equivalents in statement of cash flows	**(51,456,934)**	**(11,672,333)**

The Company classifies amounts held with TotalEnergies Treasury as cash and cash equivalents because they can be withdrawn at any time without penalties.

28 Commitments and contigent liabilities

Financial commitments

The Company did not restrict or deposit any of its assets to secure liabilities of third parties.

The Directors are of the opinion that all known liabilities and commitments have been taken into account in the preparation of these financial statements. These liabilities are relevant in assessing the Company's state of affairs.

Bonds	31 March 2025 ₦'000	31 December 2025 ₦'000
Total commitments given	30,000,000	30,000,000
Total commitments received	2,370,000	2,420,000

Commitments given primarily include guarantee to Dangote petroleum refinery and petrochemicals for bulk purchase of petroleum products. No losses are anticipated in respect of these.

Commitments received include customers' guarantees.

Commitments received and given are held with local banks.

At 31 March 2026, the Company had contractual commitments (given) for the acquisition of property, plant and equipment amounting to ₦768.39 million (2025: ₦1.56 billion).

Contingent liabilities

There are contingent liabilities in respect of legal actions against the Company amounting to approximately ₦1.257 trillion (2025: ₦1.257 trillion). The Directors have not made provisions for these contingent liabilities as consultations have been made with the in-house legal team led by Olubunmi Popoola-Mordi - (FRC/2013/ICSAN/00000002042). The in-house legal team holds regular discussions and obtains expert opinion from the Company's external solicitors (on a need basis). Based on all information available as at date of issue of these financial statements (including historical reference of these cases), the directors, based on the advice of the in-house legal team have concluded that no material losses will crystalise against the Company.

29 Capital management

The Company manages its capital to ensure that the Company will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of its debt and equity balance. The Company's overall strategy remains unchanged from prior period.

The capital structure of the Company consists of debt, which includes the borrowings disclosed in note 21, cash and cash equivalents and equity attributable to equity holders, comprising issued capital, reserves and retained earnings.

The Company is not subject to any externally imposed capital requirements.

Gearing ratio

Gearing ratio is net debt to equity ratio.

	31 March 2025 ₦'000	31 December 2025 ₦'000
Borrowings including bank overdraft (note 21)	100,008,736	84,671,515
Cash and cash equivalents excluding bank overdraft (note 27)	(48,551,802)	(44,784,443)
Lease liabilities (note 22)	1,963,290	698,515
Net debt (calculated)	53,420,224	40,585,587
Net debt (restricted to a minimum of zero)	-	-
Equity	**48,711,197**	**47,539,901**
Net debt to equity ratio	**1.10**	**0.85**

Net debt is expressed as an aggregate of lease liabilities, long and short-term borrowings less cash and cash equivalents. The net debt applied in determining the net debt to equity ratio has been restricted to a minimum of zero. The positive position of the calculated net debt is as a result of increased in borrowings and lease liability during the period.

Equity includes all capital and reserves of the Company that are managed as capital.

30 Financial risk management

(i) Financial risk management objectives

The Company’s Treasury function provides services to the business, co-ordinates access to domestic and international financial markets, monitors and manages the financial risks relating to the operations of the Company through internal risk reports which analyses exposures by degree and magnitude of risks. These risks include market risk (including currency risk, interest rate risk), credit risk and liquidity risk.

The Company's Treasury function reports monthly to the Group's Treasury, a section of the Group that monitor's risk and policies implemented to mitigate risk exposures.

(ii) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Company’s income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

Interest rate risk management

The Company is exposed to interest rate risk as it borrows funds at multiple interest rates. The risk is managed by the Company by constantly negotiating with the banks to ensure that interest rates are consistent with the monetary policy rates as defined by the Central Bank of Nigeria.

Interest rate risk
Sensitivity analysis

At the reporting date the interest rate profile of the Company's interest-bearing financial instruments was:

	31 March 2026	31 December 2025
	₦'000	₦'000
Variable rate instruments		
Borrowings (note 21)	100,008,736	84,671,515
Lease liabilities (Note 22)	1,963,290	698,515
	101,972,026	85,370,030

Sensitivity analysis for variable rate instruments

A reasonable possible change of 1000 basis points in interest rates at the reporting date would have increased (decreased) profit or loss by the amounts below. This analysis assumes that all other variables, in particular foreign currency exchange rates, remain constant.

	31 March 2026	31 December 2025
	₦'000	₦'000
Effect of 10% increase on interest rates (2025: 10%)	(10,197,203)	(8,537,003)
Effect of 10% decrease on interest rates (2025: 10%)	10,197,203	8,537,003

30 Financial Risk Management (cont'd)

Currency risk management

The Company is exposed to transactional foreign currency risk to the extent that there is a mismatch between the currencies in which sales, purchases, receivables and borrowings are denominated and the respective currencies of the Company. The functional currency of the Company is the Nigerian Naira. The Company also transacts in United States Dollars (USD), Euros (EURO) and Swiss Franc (CHF). Exchange rate exposures are managed within approved policy parameters utilizing forward foreign exchange contracts.

A movement in the exchange rate either positively or negatively by 30 percent is illustrated below. Such movements would have increased (decreased) the profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Company considered to be reasonably possible at the end of the reporting period. The analysis assumes that all other variables, in particular interest rates, remain constant.

As at 31 March 2026

	Foreign currency	Naira balance	Exchange rate*	Effect of increase/decrease in exchange rate	
	'000	'000			₦'000
Trade receivables					
USD	9,678	13,418,547	1,386.50	'30%	4,025,564
Cash deposits					
USD	29,581	41,014,057	1,386.50	'30%	12,304,217
EURO	947	1,513,513	1,598.22	'30%	454,054
Trade payables					
USD	(8,346)	(11,571,729)	1,386.50	'30%	(3,471,519)
EURO	(2,525)	(4,035,502)	1,598.22	'30%	(1,210,651)
CHF	(37)	(64,172)	1,734.37	'30%	(19,252)
Net impact on profit or loss					
USD	**30,913**	**42,860,875**	**1,386.50**	**30%**	**12,858,262**
EURO	**(1,578)**	**(2,521,989)**	**1,598.22**	**30%**	**(756,598)**
CHF	**(37)**	**(64,172)**	**1,734.37**	**30%**	**(19,252)**

As at 31 December 2025

	Foreign currency	Naira balance	Exchange rate	Effect of increase/decrease in exchange rate	
	'000	'000			₦'000
Trade receivables					
USD	1,796	2,613,862	1,455.38	'30%	784,159
Cash deposits					
USD	29,716	43,248,072	1,455.38	'30%	12,974,422
EURO	237	404,804	1,708.03	'30%	121,441
Trade payables					
USD	(15,213)	(22,140,696)	1,455.38	'30%	(6,642,209)
EURO	(1,319)	(2,252,897)	1,708.03	'30%	(675,869)
CHF	(37)	(66,050)	1,785.13	'30%	(19,815)
Net impact on profit or loss					
USD	**16,299**	**23,721,239**	**1,455.38**	**30%**	**7,116,371**
EURO	**(1,082)**	**(1,848,093)**	**1,708.03**	**30%**	**(554,429)**
CHF	**(37)**	**(66,050)**	**1,785.13**	**30%**	**(19,815)**

A decrease in exchange rate by 30 percent (2025: 30 percent) against the above currencies at the reporting period would have had the equal but opposite effect on the above currencies to the amounts shown above, on the basis that all other variables remain constant.

*These exchange rates have been derived by computing the weighted average of the CBN intervention rate, bank rate, and NAFEM which represents the Company's expected pattern of realisation and settlement.

The following exchange rates were applied during the period:

	Average rate		Reporting date spot rate	
	2026	**2025**	**2026**	**2025**
USD	1383.79	1,521.07	1386.50	1,455.38
EURO	1618.26	1,721.10	1598.22	1,708.03
CHF	1774.75	1,841.78	1734.37	1,785.13

NOTES TO THE FINANCIAL STATEMENTS

Financial Risk Management (cont'd)

(iii) Liquidity risk management

Liquidity risk tables

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

The following tables detail the Company's remaining contractual maturity for its derivative and non-derivative financial liabilities with agreed repayment periods. The contractual cashflows are gross and undiscounted and include contractual interest payments.

			Contractual cashflows				
		Carrying amount	Total	Less than 1 month	1 to 3 months	3 months to 1 year	More than 1 year
31 March 2026		**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**	**₦'000**
Borrowings	(Note 21)	100,008,736	100,008,736	-	-	100,008,736	-
Trade payables	(Note 24)	96,604,850	96,604,850	12,047,174	67,015,707	17,541,969	-
Other payables[1]	(Note 24)	87,586,294	87,586,294	31,315,763	29,422,985	26,847,546	-
Lease liabilities	(Note 22)	1,963,290	1,963,290	-	-	996,633	966,657
		286,163,170	**286,163,170**	**43,362,937**	**96,438,692**	**145,394,884**	**966,657**
31 December 2025							
Borrowings	(Note 21)	84,671,515	84,671,515	-	-	84,671,515	-
Trade payables	(Note 24)	181,227,928	181,227,928	67,275,479	96,410,480	16,894,930	-
Other payables[1]	(Note 24)	54,034,029	54,034,029	19,319,425	18,151,726	16,562,878	-
Lease liabilities	(Note 22)	698,515	698,515	-	-	354,590	343,925
		320,631,987	**320,631,987**	**86,594,904**	**114,562,206**	**118,483,913**	**343,925**

[1]The amount of other payables does not include statute-based deductions (Pay As You Earn tax, Witholding tax and Value Added Tax payables).

The Company manages liquidity risk by maintaining reserves, monitoring forecasts of banking facilities and actual cash flows and matching the maturity profiles of financial assets and liabilities. Below is a listing of financing facilities that the Company has at its disposal to further reduce liquidity risk.

Financing facilities

Unsecured bank loans which are revolving trade loans with a tenure of one year and overdrafts payable at call are reviewed annually. Commercial papers are unsecured instruments which are payable at the expiration of their tenure.

	2026	2025
	₦'000	**₦'000**
Amount used	98,458,175	91,491,456
Amount unused	111,541,825	118,508,544
Total facilities	210,000,000	210,000,000

NOTES TO THE FINANCIAL STATEMENTS
Financial Risk Management (cont'd)

(iv) Credit risk management

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Company's receivables from customers, employees and the government. The Company has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient security where appropriate e.g. security deposits, as a means of mitigating the risk of financial loss from defaults. The Company uses other publicly available financial information and its own trading records to rate its major customers. Credit exposure is controlled by setting credit limits that are routinely reviewed and approved by management.

The Company obtains bank guarantees in its favour for transactions with certain customers. These guarantees are held with Nigerian banks as a form of security in the event of a default.

The Company does not have any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The Company defines counterparties as having similar characteristics if they are related entities.

The credit policy of TotalEnergies Marketing Nigeria Plc. is set in accordance with the sales channel that the Customer belongs to:

Network Channel: Credit is extended to dealers who operate the Company Owned, Dealer Operated Service Station (CODO) and some of the Dealer Owned, Dealer Operated service stations (DODO) who specifically apply to operate under the DODO credit scheme. Under both CODO and DODO credit schemes, credit is extended to each dealer to cover the working capital needs of the station. Each day's sales proceeds are lodged into the Company's bank accounts at least twice daily. The Company's financial risk exposure is covered by retentions from dealers income to increase the security deposit, as well as retention of title over physical stock in the station in the event of non-payment.

General Trade (GT) Channel: Credit for the GT customers is set at the monthly average sales to the customer for a period of one year or six months after proper financial and qualitative analysis. The approved credit limit is extended for 30 days or 45 days in rare occasions for blue chip companies.

Aviation Channel: Most of the customers are on a cash and carry basis with the exception of a few companies with 15 days credit limit. Credit is given only after a period of three months sales to the customer. Sales to international customers are based on a contract of one year and credit amount is based on expected turnover. Sales to international customers are guaranteed by Air Total International, a related party and the risk of loss in this circumstance is nil.

Cash and cash equivalents
The Company held cash and cash equivalents of ₦48.55 billion (net of cash on hand) at 31 March 2026 (2025: ₦91.48 billion) with banks and financial institutions with high credit ratings, rated B to AAA based on the Fitch rating agency and TotalEnergies treasury.

Impairment on cash and cash equivalents has been measured on a 12-month expected loss basis and reflects the short-term maturities of the exposures. The Company considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties. The Company did not record any ECL impairment for the period. (2025: Nil).

Trade and other receivables
A summary of the Company's exposure to credit risk for trade receivables is as follows:

As at 31 March 2026

	Not Credit Impaired	Credit Impaired	Total
	₦'000	₦'000	₦'000
Trade receivables	88,919,330	1,492,277	87,427,053

As at 31 December 2025

	Not Credit Impaired	Credit Impaired	Total
	₦'000	₦'000	₦'000
Trade receivables	82,182,807	1,468,365	85,165,833

The maximum exposure to financial assets at the reporting date by type of counterparty was:

	31 March 2026	31 December 2025
	₦'000	₦'000
Customers	87,075,522	84,442,244
Due from related parties	351,531	723,589
Bridging claims	19,113,617	19,113,617
Other receivables	7,391,919	5,033,515
Net investment in finance lease (Note 19.1.1)	328,165	357,234
Unclaimed dividends	2,600,601	2,605,754
Employee loans and receivables	910,938	2,269,184
Trade and other receivables (Non-current)	4,918,217	6,021,005
Cash and cash equivalent (Note 27)[1]	48,535,100	44,773,108
	171,225,610	**165,339,250**

[1]The amount represents cash and cash equivalent net of cash on hand.

Financial Risk Management (cont'd)

Due from related parties

The Company has transactions with its parent and other related parties who are related to the Company by virtue of being members of the TotalEnergies Group. In the directors' view, all amounts are collectible. Related party receivable balances were assessed for ECL impairment, in accordance with IFRS 9. This assessment is performed together with the trade receivables balances from other customers as at period end.

Due from regulators

This comprises amount due from PPPRA with respect to subsidies/PSF receivables on imported products as well as amounts receivable from PEF with respect to bridging claims. Bridging claim are payments gotten from the government with respect to moving product from one depot to another when the distance is in excess of 450km. There is no loss experience with government receivables as the determination of amounts due are based on existing regulations/ guidelines and impairment is only recognised when changes occur in the regulations/ guidelines that prohibit or limit recovery of previously recognised amounts.

	31 March 2026	31 December 2025
	₦'000	₦'000
Bridging claims	19,113,617	19,113,617
Bridging contribution	(16,894,930)	(16,894,930)
	2,218,687	**2,218,687**

Other receivables

Other receivables include finance lease receivables, staff debtors and other sundry receivables. The Company reviews the balances due from this category on a periodly basis taking into consideration factors such as continued business/employment relationship. Where such does not exist, the amounts are impaired. Other receivables were assessed for impairment in accordance with IFRS 9.

The finance lease receivables represent amounts due from transporters and these receivables are offset against payments due to them for transport services provided. They are not considered to be impaired as they are receivable based on timelines stipulated in the contracts and are considered to be low risk.

Expected credit loss assessment for customers

The Company has adopted the use of the simplified approach in computing impairment of trade receivables using the allowance matrix to measure the Expected Credit Loss (ECL) of trade receivables from individual customers and related parties.
In arriving at the impairment amounts, the trade receivables are segmented based on the aging characteristics of the receivables and the applicable loss rates are applied to the respective trade receivables category.
After an assessment of the economic realities in Nigeria, loss rates for the period were based on actual credit loss experience on a customer by customer basis over the past three years using the lifetime expected credit loss approach.
Therefore, the historical loss rates have been applied to the trade-receivables balances in the calculation of the impairment loss. The Company also considered internal and external forward-looking information such as macro-economic indices as the Gross Domestic Product growth rate and specific customer repayment outlooks based on discussions with and commitments from its customers as well as knowledge of the industry.
Based on the above, loss rates on receivables that were calculated using a single default rate approach. The single default or loss rate approach is the amount that is expected to be written-off in each bucket (balances that are over 360 days past due in line with the Company's provisioning matrix) and divided by the relevant total unpaid balances included in each ageing bucket.

The following table provides information about the exposure to credit risk and ECLs for trade receivables from customers and amounts due from related parties as at 31 March 2026.

31 March 2026	Weighted average loss ratio	Gross carrying amount	Loss allowance	Credit impaired
		₦'000	₦'000	
Current (not past due)	1.30%	87,653,304	1,143,398	No
1 - 30 days past due	3.17%	458,799	14,556	No
31 - 60 days past due	8.68%	434,697	37,719	No
61 - 180 days past due	43.84%	92,641	40,617	No
180 - 360 days past due	56.65%	55,141	31,240	No
More than 360 days past due	100.00%	224,747	224,747	Yes
		88,919,330	**1,492,277**	

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31 December 2025	Weighted average loss ratio	Gross carrying amount	Loss allowance	Credit impaired
		₦'000	₦'000	
Current (not past due)	0.35%	73,261,115	519,023	No
1 - 30 days past due	3.97%	5,470,622	217,084	No
31 - 60 days past due	11.17%	2,732,026	305,197	No
61 - 180 days past due	39.10%	361,958	141,530	No
180 - 360 days past due	44.22%	128,278	56,723	No
More than 360 days past due	100.00%	228,808	228,808	Yes
		82,182,807	**1,468,365**	

Expected credit loss assessment for employee receivables

31 March 2026	Weighted average loss ratio	Gross carrying amount	Loss allowance	Credit impaired
		₦'000	₦'000	
Current (not past due)	0.00%	4,264,366	-	No
		4,264,366	**-**	

31 December 2025	Weighted average loss ratio	Gross carrying amount	Loss allowance	Credit impaired
		₦'000	₦'000	
Current (not past due)	0.00%	6,511,616	-	No
		6,511,616	**-**	

Loss rates are based on actual credit loss experience over the past six years. These rates are multiplied by scalar factors to reflect differences between economic conditions during the period over which the historical data has been collected, current conditions and the Company's view of economic conditions over the expected lives of the receivables.

In current period, no impairment has been recognised on employee loan receivables as amounts due are backed by collateral which include international shares, in-house pension schemes etc. that ensure the Company will be able to recover the debts from its employees.

The movement in the allowance for impairment in respect of trade and other receivables during the period was as follows;

	Individual impairments 31 March 2026	31 December 2025
	₦'000	₦'000
Balance at 1 January	**1,468,365**	**1,278,354**
Reversal of impairment	(60,362)	(85,176)
Net remeasurement of loss allowance	84,274	275,187
Balance at 31 March	**1,492,277**	**1,468,365**
Amount recognised in profit or loss:		
Reversal of impairment	(60,362)	(85,176)
Net remeasurement of loss allowance	84,274	275,187
Net impairment write-back on trade receivables	**23,912**	**190,011**

Financial Risk Management (cont'd)

31 Classification of financial instruments

(a) Accounting classifications and fair values

The classification of financial assets and liabilities, together with the carrying amounts shown in the statement of financial position, are shown in the table below. It does not include fair value information for financial assets and financial liabilities not measured at fair value as the carrying amount is a reasonable approximation of fair value.

31 March 2026

	Financial assets at amortized cost	
	Carrying amount	Fair value
	₦'000	**₦'000**
Financial assets not measured at fair value		
Trade and other receivables (note 19)[1]	122,646,757	122,646,757
Cash and cash equivalents (note 27)	48,551,802	48,551,802
	171,198,559	**171,198,559**

	Financial liabilities at amortized cost	
Financial liabilities not measured at fair value	Carrying amount	Fair value
	₦'000	**₦'000**
Borrowings (note 21)	100,008,736	100,008,736
Trade and other payables (note 24)[2]	184,191,144	184,191,144
	284,199,880	**284,199,880**

As at 31 December 2025

	Financial assets at amortized cost	
	Carrying amount	Fair value
	₦'000	**₦'000**
Financial assets not measured at fair value		
Trade and other receivables (note 19)[1]	120,443,336	120,443,336
Cash and cash equivalents (note 27)	44,784,443	44,784,443
	165,227,779	**165,227,779**

	Financial liabilities at amortized cost	
	Carrying amount	Fair value
Financial liabilities not measured at fair value	**₦'000**	**₦'000**
Borrowings (note 21)	84,671,515	84,671,515
Trade and other payables (note 24)[2]	235,261,957	235,261,957
	319,933,472	**319,933,472**

[1] Trade and other receivables excludes advance to suppliers and PPE.

[2] Trade and other payables excludes statute based deductions.

32 Assets pledged as security

As at the period ended 31 March 2026 there were no assets pledged as security (2025: nil).

NOTES TO THE FINANCIAL STATEMENTS

33 Events after the reporting date

There were no events after the reporting date that could have a material effect on the financial position of the Company at 31 March 2026 and on the result for the period ended on that date that have not been taken into account in these financial statements.

34 Related party transactions

Related party include the Parent Company, TotalEnergies Marketing Services and TotalEnergies group entities. As at the period ended 31 March 2026, the Parent Company TotalEnergies Marketing Services(incorporated in France) owned 61.72% of the issued shares of TotalEnergies Marketing Nigeria Plc. The Parent and Ultimate controlling entity is TotalEnergies S.A (incorporated in France).

34.1 Transactions with related parties

During the period, the Company entered into the following transactions with related parties, who are members of the TotalEnergies Group, as shown below:

	Sale of goods		Purchase of goods		Others[1]	
	31 March 2026	31 March 2025	31 March 2026	31 March 2025	31 March 2026	31 March 2025
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
TotalEnergies Marketing Afrique	-	-	9,646,486	37,447,275	7,317	45,576
TotalEnergies Aviation	-	-	-	-	53,913	103,713
TotalEnergies E&P Nigeria	791,182	1,571,376	-	-	-	-
TotalEnergies Lubrifiants	60,455	304,649	-	-	-	-
TotalEnergies Supply Marketing Services	-	-	137,050	608,540	-	-
Rades Training Center	-	-	-	-	-	14,859
TotalEnergies marketing middle east	-	-	556,113	701,709	-	-
TotalEnergies Learning Solutions	-	-	-	-	56,317	-
TotalEnergies Global Procurement	-	-	-	-	134,173	177,799
TotalEnergies Marketing Belgium	-	-	-	12,174	-	-
TotalEnergies Gestion International	-	-	-	-	210,272	258,409
TotalEnergies Global Services	-	-	-	-	134,842	110,347
TotalEnergies Marketing Services	-	-	-	-	1,917,132	1,782,587
	851,637	1,876,025	10,339,649	38,769,697	2,513,966	2,493,290

[1] *Others refer to transactions that are not related to sales and purchase of goods, these are service cost incurred by the company.*

34.2 Outstanding balance

The following amounts were outstanding at the reporting date:

	Amounts owed by related parties		Amounts owed to related parties	
	31 March 2026	31 December 2025	31 March 2026	31 December 2025
	₦'000	₦'000	₦'000	₦'000
TotalEnergies Marketing Afrique	-	-	40,683,080	66,790,249
TotalEnergies Supply Marketing Services	-	-	137,050	-
TotalEnergies E&P Nigeria	-	338,442	16,862	-
TotalEnergies Aviation	45,960	-	54,933	7,717
TotalEnergies Global Procurement	-	-	44,714	46,950
TotalEnergies Global Services	-	-	34,944	29,719
TotalEnergies Learning Solutions	-	-	27,960	-
TotalEnergies Niger	2,317	2,317	-	-
TotalEnergies Renewables	129,265	211,563	-	-
TotalEnergies Gestion International	-	-	64,796	66,585
TotalEnergies Trading SA	123,142	-	-	-
Total Marketing middle east	-	-	-	700,254
TotalEnergies Marketing Services	-	-	25,877,050	28,694,687
TotalEnergies Lubrifiants	50,847	171,267	-	-
	351,531	723,589	66,941,389	96,336,162
TotalEnergies Treasury[1]	30,901,255	30,822,317	-	-
	31,252,786	31,545,906	66,941,389	96,336,162

[1] *Included in the analysis above is the balance of funds held with TotalEnergies Treasury as at the period ended 31 March 206 amounting to ₦30.90 billion (2025: ₦30.82 billion). This has however been classified along with cash and cash equivalents in the statement of financial position. See note 27.*

Terms and conditions of transactions with related parties

The transactions with related parties are made at terms equivalent to those that prevail in arm's length transactions. Outstanding balances at the period end are unsecured and interest free.

Technical assistance and management fees

TotalEnergies Marketing Services charges TotalEnergies Marketing Nigeria Plc for General Assistance recorded and TotalEnergies Marketing Afrique charges TotalEnergies Marketing Nigeria Plc for Technical Assistance. The expenses are generally charged to profit or loss. During the peiod, an accrual of ₦2.88 billion (2025: ₦2.66 billion) was charged to profit or loss in this regard. See note 10.2.

34.3 Related party transactions (continued)

(i) Transactions with key management

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any Director (whether executive or otherwise) of the Company.
The Company has identified its management team as its key management personnel. The compensation paid or payable to key management for employee services is shown below:

	31 March 2026	31 March 2025
	₦'000	₦'000
Short-term employee benefits		
Salaries and allowances	441,703	403,647
Directors remuneration (Note 10.2)	467,784	432,590
	467,784	**432,590**
Directors' fees	10,949	11,368
Other remunerations	456,834	421,222
	467,784	**432,590**

Emoluments of the highest paid director was ₦244.30 million (2025: ₦216.08 million). The chairman of the board did not earn any emoluments during the period (2025:nil).

The table below shows the number of Directors whose emoluments during the period excluding pension contributions were within the ranges stated:

	2026	2025
	Number	Number
₦15,000,001 and above	10	10
	10	10
Number of Directors who had no emoluments during the period	4	4

35 Information regarding employees

(i) The table below shows the number of staff of the Company whose emoluments during the period excluding pension contributions were within the ranges stated:

	31 March 2026	31 March 2025
	Number	Number
Below ₦1,500,000	-	3
₦1,500,001 - ₦2,500,000	2	1
₦7,500,001 - ₦8,500,000	-	-
₦8,500,001 - ₦9,500,000	-	6
₦9,500,001 - ₦10,500,000	4	2
₦10,500,001 - ₦11,500,000	3	-
₦11,500,001 - ₦12,500,000	1	-
₦12,500,001 - ₦13,500,000	-	4
₦13,500,001 - ₦14,500,000	-	21
₦14,500,001 - ₦15,500,000	3	21
₦15,500,001 and above	391	362
	404	**420**

(ii) The average number of persons employed in the financial period and the staff costs were as follows:

	31 March 2026	31 March 2025
	Number	Number
Managerial staff	222	211
Senior staff	170	201
Junior staff	12	8
	404	**420**

NOTES TO THE FINANCIAL STATEMENTS

Securities Trading Policy

In compliance with Rule 17.15 Disclosure of Dealings in Issuers' Shares, Rulebook of the Exchange 2015 (Issuers Rule) TotalEnergies Marketing Nigeria Plc maintains a Security Trading Policy which guides Directors, Audit Committee members, employees and all individuals categorized as insiders as to their dealing in the Company's securities. The Policy is periodically reviewed by the Board and updated. The Company has made specific inquiries of all its directors and other insiders and is not aware of any infringement of the policy during the period under review.